KENYA RE

STRENGTH & WISDOM BEYOND BORDERS

Kenya Reinsurance Corporation Ltd.

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Nairobi, Kenya.
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Telefax (254 20) 2223944, 340486, 340967, 2252106,
Email:kenyare@kenyare.co.ke
Website: http://www.kenyare.co.ke

Our Ref: KRC/LD/MISC/56

28th March 2019

The Chief Executive Officer
Capital Markets Authority
Embankment Plaza
Upper Hill, Longonot Road, Off Kilimanjaro Avenue
P.O Box 74800-00200
NAIROBI

Dear Sir,

RE: KENYA REINSURANCE CORPORATION LIMITED
AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2018

In accordance with the provisions of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, the Board of Directors of Kenya Reinsurance Corporation is pleased to release to you the audited financial results for the year ended 31st December 2018.

The Statement of Profit or Loss and Other Comprehensive Income (Profit & Loss Statement), Statement of Financial Position (Balance Sheet), the Statement of Changes in Equity, and the Statement of Cashflows are detailed on pages 20 to 27 of the attached Annual Report.

The abridged version of these financial results will be published in the daily newspapers tomorrow.

We also bring to your attention the following dates for the Corporation's activities:

- **Date of AGM** - **14th June 2019**
- **Date of Closure of Register** - **17th June 2019**
- **Dividend Payment Date** - **26th July 2019**
- **Dividend Amount per Share** - **Kshs. 0.45**

We thank you for your continued support.

Yours faithfully,

CHARLES KARIUKI
CORPORATION SECRETARY
Encl.

Directors: David Kemei (Chairman), Jadiah Mwarania (Managing Director), Henry K. Rotich (CS Treasury), Everest Lenjo, Chiboli Shakaba, Felix Okatch, Maina Mukoma, Jennifer Karina, Felista Ngatuny, Zipporah Mogaka & Anthony Munyao

c.c. The Chief Executive Officer
Nairobi Securities Exchange Limited
The Exchange,
55 Westlands Road,
Nairobi.

c.c. Managing Director, Kenya Reinsurance Corporation Limited

KENYA REINSURANCE CORPORATION LIMITED

ANNUAL REPORT
AND
GROUP FINANCIAL STATEMENTS

31 DECEMBER 2018

KENYA REINSURANCE CORPORATION LIMITED
ANNUAL REPORT AND GROUP FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2018

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DIRECTORS

David Kemei	- Chairman
Jadiah Mwarania	- Managing Director (01^{st} Jan 2018 to 12 March 2018 and 20^{th} July -31^{st} December 2018)
Michael Mbeshi	Ag.MD 12 Mar to 19^{th} July 2018
Henry Rotich	- Cabinet Secretary, National Treasury (Re-elected on 21 June 2018)
Chiboli Shakaba	
Everest Lenjo	
Felix Okatch	- Re-elected on 21 June 2018
Maina Mukoma	
Jennifer Karina	- Re-elected on 21 June 2018
Felista Ngatuny	- Re-elected on 21 June 2018
Anthony Munyao	
Zipporah Mogaka	

SECRETARY
Charles Kariuki
Registration No. R/CPS B/2305
Certified Public Secretary (Kenya)
Reinsurance Plaza, Taifa Road
P.O. Box 30271 - 00100 GPO
Nairobi, Kenya

REGISTERED OFFICE
Reinsurance Plaza
Taifa Road
P.O. Box 30271 - 00100 GPO
Nairobi, Kenya

BANKERS
Kenya Commercial Bank Limited
Moi Avenue
P.O. Box 30081 - 00100 GPO
Nairobi, Kenya

Citibank NA
Citibank House, Upper Hill
P.O. Box 3071 - 00100
Nairobi, Kenya

Bank of Africa
Residence Verdier A13 1ER ET
01 BP 7539 Abidjan 01
Plateau, Cote d'Ivoire

Citibank Zambia Limited
Citibank House
Stand 4646 Addis Ababa Roundabout
P.O. Box 30037 - 10101
Lusaka, Zambia

CONSULTING ACTUARIES
Zamara Actuaries, Administrators & Consultants Limited
10th Floor, Landmark Plaza
Argwings Kodhek Road
P.O. Box 52439 - 00200 City Square
Nairobi, Kenya

Actuarial Services (East Africa) Limited
10th Floor Victoria Towers
Kilimanjaro Avenue, Upper hill
P.O. Box 10472 - 00100 GPO
Nairobi, Kenya

SHARE REGISTRARS
Image Registrars Limited
Barclays Plaza, Loita Street, 5th Floor
P.O. Box 9287 - 00100 GPO
Nairobi, Kenya

ADVOCATES
Mose, Mose Milimo & Company Advocates
Comcraft House, 3rd Floor
Haile Selassie Avenue
P.O. Box 9403 - 00200
Nairobi, Kenya

M.A. Otega & Company Advocates
Anniversary Towers, South Tower
Mezzanine 2, University Way
P.O. Box 46630 - 00100 GPO
Nairobi, Kenya

Kaplan & Stratton Advocates
Williamson House
4th Ngong Avenue
P.O. Box 40111 - 00100
Nairobi, Kenya

SUBSIDIARIES
Kenya Reinsurance Corporation Côte d`Ivoire
Saphir Center
7e tranche Carrefour Les Oscars
Cocody-Abidjan

Kenya Reinsurance Corporation Zambia Limited
D.G Office Park, No. 1 Chila Road
Kabulonga, Lusaka
P.O. Box 30578 10101, Zambia

AUDITORS
Auditor General
Kenya National Audit Office
P.O. Box 30084 - 00100 GPO
Nairobi, Kenya

The directors submit their report together with the audited financial statements for the year ended 31 December 2018.

1. INCORPORATION AND BACKGROUND INFORMATION

The Kenya Reinsurance Corporation Limited is a public limited liability company reconstituted through an Act of Parliament in 1997. It was established through an Act of Parliament in December 1970 and commenced business in January 1971 as Kenya Reinsurance Corporation. The Government of Kenya owns 60% of the company while the public owns 40%. The address of the registered office is set out on page 1.

It has two fully owned subsidiaries; Kenya Reinsurance Corporation, Cote d`Ivoire, which was incorporated on 19 September 2010 and Kenya Reinsurance Corporation Zambia Limited, which was incorporated on 26 November 2015. Kenya Reinsurance Corporation, Cote d`Ivoire, operated as a full subsidiary starting in 2015, while, the Zambian subsidiary started operating in 2016.

2. PRINCIPAL ACTIVITIES

The principal activities of the Group are underwriting of all classes of reinsurance business and investment activities.

3. RESULTS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Profit before tax	3,101,850	4,558,551	3,033,273	4,748,502
Tax charge	(823,568)	(981,211)	(823,568)	(981,211)
Profit for the year transferred to retained earnings	2,278,282	3,577,340	2,209,705	3,767,291

4. DIVIDENDS

The directors recommend the approval of a first and final dividend of KShs 0.45 (2017: KShs 0.85) per share totalling to KShs 315 million for the year ended 31 December 2018 (2017: KShs 595 million).

5. DIRECTORATE

The directors who held office during the year and to the date of this report are set out on page 1.

6. BUSINESS REVIEW

We delivered on our commitment to continue growing the shareholders' value. The gross written premiums, investments income, shareholders' funds and assets base registered growth, however there was significant drop in profits for year ended 31st December 2018 due to high claims posted, impairment of an asset held for sale, significant devaluation of forex in one of our markets and significant drop in the share of profit from our investment in associate in Zep Re.

Operational performance

Gross written premiums grew by from KShs 14.83 billion in the year 2017 to KShs 14.838 billion in 2018. Net earned premiums grew by 4% from KShs 13.68 billion in 2017 to KShs 14.2 billion in 2018. Investment income grew from KShs 3.17 billion to KShs 3.39 billion. The profit before tax for the year stood at KShs 3.1 billion, a decline of 32% from last year profit before tax of KShs 4.56 billion.

Our accomplishments are the outcome of disciplined execution of our five-year strategy which is grounded on the following five pillars; financial performance, business process improvement, business development, risk management and people and culture.

Financial overview

Financial overview of the Group continues to deliver positive results to shareholders and has maintained a good performance despite the challenging business environment experienced during the year which affected the revenue streams, investment income.

Our investment portfolio grew to KShs 36.6billion in 2018 up from KShs 35.47 billion in 2017. The asset base increased from KShs 42.73 billion in 2017 to KShs 44.2.billion in 2018, a growth of 4%. The Shareholders funds increased from KShs 27.2 billion in 2017 to KShs 28.38 billion in 2018 a growth of 5%.

The Key performance drivers that are responsible for positive financial state of the organization include, aggressive collection of the reinsurance receivables and real time market intelligence which guided our response to market changes and the uptake of investment opportunities.

Key performance indicators

	2013 KShs Millions	2014 KShs Millions	2015 KShs Millions	2016 KShs Millions	2017 KShs Millions	2018 KShs Millions
Gross premium	9,645	11,570	13,060	13,245	14,827	14,838
Net premiums written	8,582	10,313	12,016	12,687	13,680	14,206
Investment Income	2,278	2,592	3,041	3,079	3,165	3,386
Total assets	27,628	32,174	35,954	38,494	42,733	44,363
Shareholders' funds	16,993	19,991	21,933	24,133	27,205	28.373
Management Expenses	1,015	1,093	1,319	1,832	1,709	2,020

Principal risks and uncertainties facing the Corporation

In the course of its business operations, the Corporation faces key threats in meeting its business objectives. Among these are market risk exposures from its investment activities occasioned by reduced earnings on bank deposits due to interest rate capping, erratic prices of quoted equities and foreign exchange losses from underwriting operations in diverse regions with different currencies.

The Corporation faces stiff competition both in its local and international markets. There has been increasing cases of domestication of reinsurance business in some key markets, setting up of national reinsurance in countries where there were none, mergers and acquisitions increasing retention capacity of direct underwriters reducing reinsurance premiums, creation of captive reinsurance new entrants in Corporation's target markets, unfavourable changes in legislation in some markets and price undercutting amongst competitors.

Delays in receiving outstanding reinsurance premiums continues to pose credit risk to the Group. This is mainly from outstanding retro recoveries as well as outstanding premium receivables from cedants and brokers. As at 31 December 2018, gross receivables stood at KShs 5.67 billion against provisions of KShs 2.04 billion as compared to 31 December 2017, where gross reinsurance receivables stood at KShs 5.78 billion against provisions of KShs 1.48 billion.

Underwriting risks mainly relate to the risk that underwriting costs may exceed the premiums generated from the underwriting activity. The Corporation's underwriting loss was KShs 575.3 million in year 2018 from a profit of KShs 309 million for year 2017. The Corporation's claim ratio stood at 62% in year 2018 up from 56% registered in year 2017. Claims incurred in year 2018 grew by 14% to KShs 8.8 billion up from KShs 7.60 billion.

7. STATEMENT AS TO DISCLOSURE TO THE COMPANY'S AUDITOR

With respect to each director at the time this report was approved:

a) there is, so far as the person is aware, no relevant audit information of which the company's auditor is unaware; and

b) the person has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

8. SECRETARY

The Company's Secretary is Mr Charles Kariuki.

9. TERMS OF APPOINTMENT OF THE AUDITOR

The Auditor General is responsible for the statutory audit of the Company's books of account in accordance with Section 48 of the Public Audit Act, 2015. Section 23 of the Act empowers the Auditor General to nominate other auditors to carry out the audit on his behalf.

Ernst & Young LLP were appointed by the Auditor General, to carry out the audit for the year ended 31 December 2018. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees. The agreed auditor's remuneration of KShs 7,906,140 has been charged to profit or loss in the year.

BY ORDER OF THE BOARD

Secretary

Nairobi

28th March 2019

Corporate governance is the process and structure by which companies are directed, controlled and held accountable in order to achieve long term value to shareholders taking cognisance of the interest of other stakeholders.

The Board of Directors of Kenya Reinsurance Corporation Limited is responsible for the governance of the Company and is accountable to the shareholders and stakeholders in ensuring that the Company complies with the laws and the highest standards of business ethics and corporate governance. Accordingly the Board attaches very high importance to the generally accepted corporate governance practices and has embraced the internationally developed principles and code of best practice of good corporate governance.

Board of Directors

The roles and functions of the Chairman and the Managing Director are distinct and their respective responsibilities clearly defined within the Company. The Board comprises of eleven (11) directors ten (10) of whom are non-executive directors including the Chairman. The Board defines the Company's strategies, objectives and values and ensures that procedures and practices are set in place to ensure effective control over strategic, financial, operational and compliance issues. The directors bring a wealth of experience and knowledge to the Board's deliberations. Except for direction and guidance on general policy, the Board delegates authority of its day-to-day business to the Management through the Managing Director. The Board nonetheless is responsible for the stewardship of the Company and assumes responsibilities for the effective control over the Company. The Company Secretary attends all meetings of the Board and advises the Board on all corporate governance matters as well as prevailing statutory requirements.

Board Meetings

The Board holds meetings on a regular basis while special meetings are called when it is deemed necessary to do so. The Board held four (4) regular and eighteen (18) special meetings during the year under review. As the Company is a State Corporation, the Inspector General of State Corporations from time to time attends meetings of the Board and Board Committees for oversight and advisory purposes in accordance with the State Corporations Act.

Committees of the Board

The Board has set up the following principal Committees which meet under well-defined terms of reference set by the Board. This is intended to facilitate efficient decision making of the Board in discharging its duties and responsibilities.

Audit Committee

The membership of the Audit Committee is comprised as follows:

Anthony Munyao	- Chairman
Protus Sigei	- (Alternate to CS, National Treasury)
Everest Lenjo	
Felistas Ngatuny	
Chiboli Shakaba	

Committees of the Board (continued)

Audit Committee (continued)

The Committee assists the Board in fulfilling its corporate governance responsibilities and in particular to:

- Review financial statements before submission to the Board focusing on changes in accounting policies, compliance with International Financial Reporting Standards and legal requirements.
- Strengthen the effectiveness of the internal audit function.
- Maintain oversight on internal control systems.
- Increase the shareholders' confidence in the credibility and standing of the Company.
- Review and make recommendations regarding the Company's budgets, financial plans and risk management.
- Liaise with the external auditors.

The Committee held four (4) regular meetings and four (4) special meetings in the year under review.

Risk and Compliance Committee

The membership of the Risk and Compliance Committee is comprised as follows:

Maina Mukoma - Chairman
Felix Okatch
Everest Lenjo
Anthony Munyao
Jadiah Mwarania

The responsibilities of this Committee include:

- Provision of general oversight in risk and compliance matters in the Company.
- Ensuring quality, integrity, effectiveness and reliability of the Company's risk management framework.
- Setting out the nature, role, responsibility and authority of the risk management and the compliance function of the Company.
- Defining the scope of risk management work.
- Ensuring that there are adequate risk policies and strategies in place to effectively identify, measure, monitor and appropriately mitigate the various risks which the Company is exposed to from time to time.
- Steering the Corporation on best practices on management of Information and technology.

The committee held four (4) regular meetings and six (6) special meetings in the year under review.

Human Resources Committee

The membership of the Human Resources Committee is comprised as follows:

Felistas Ngatuny	- Chairman
Jennifer Karina	
Zipporah Mogaka	
Protus Sigei	- Alternate to CS, National Treasury
Chiboli Shakaba	
Jadiah Mwarania	

The Committee reviews and provides recommendations on issues relating to all human resources matters including, career progression, performance management, training needs, job transfers, staff recruitment, staff placements, promotions, demotions, discipline and staff welfare.

The Committee held four (4) regular meetings and eight (8) special meetings in the year under review.

Committees of the Board (continued)

Finance and Strategy Committee

The membership of the Finance and Strategy Committee is comprised as follows:

Zipporah Mogaka - Chairman
Maina Mukoma
Jennifer Karina
Felix Okatch
Jadiah Mwarania

The Committee assists the Board in fulfilling its oversight responsibilities relating to the Company's finance, procurement, investment strategies, reinsurance strategies, policies, projects and related activities.

The Committee held four (4) regular and six (6) special meetings in the year under review.

Risk Management and Internal Controls

The Company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These cover systems for obtaining authority for all transactions and for ensuring compliance with the laws and regulations that have significant financial implications. In reviewing the effectiveness of the internal control system, the Board takes into account the results of work carried out to audit and review the activities of the Company. The Board also considers the management accounts for each quarter, reports from each Board Committee, annual budgetary proposals, major issues and strategic opportunities for the Company. As an integral strategy in achieving its corporate goals, the Board ensures that an optimal mix between risk and return is maintained. To achieve this goal, a risk management and governance framework has been put in place to assist the Board in understanding business risk issues and key performance indicators affecting the ability of the Company to achieve its objectives both in the short and long term.

Creating Shareholders' Value

In order to assure the shareholders of the Company's commitment to activities that create and enhance shareholder value, the Board signs a performance contract with the Government as well as sets Corporate Performance strategies with Management and continues to perform an annual evaluation exercise to review and audit its role and success or otherwise to meet the challenges envisaged at the beginning of each year.

Directors' Emoluments and Loans

The aggregate amount of emoluments paid to directors for services rendered during the financial year 2018 are disclosed in the notes to the financial statements under note 42. . Non-executive directors are paid sitting allowances for every meeting attended. There were no arrangements for the directors to acquire benefits through the acquisition of the Company's shares. There were no loans advanced to directors during the financial year.

Directors' interests as at 31 December 2018:

	Number of shares	Shareholding %
The National Treasury of Kenya	420,000,000	60
Jadiah Mwarania	100,000	-
Chiboli Induli Shakaba	75,403	
Jennifer Kabura Karina	55,889	-
Maina Mukoma	1,681	
David Kibet Kemei	1,063	-
Felix Okatch	100	-
	420,234,136	60

	Number of shares	Shareholding %
Major Shareholders:		
The National Treasury of Kenya	420,000,000	60
Standard Chartered Kenya Nominees Ltd A/C KE22446	25,399,670	3.63
Stanbic Nominees Ltd A/C NR 1031141	17,094,400	2.44
Standard Chartered Kenya Nominees Ltd A/C KE002382	8,720,500	1.25
Stanbic Nominees Ltd A/C NR 1031144	7,940,600	1.13
Investments & Mortgages Nominees Ltd A/C 028950	7,666,488	1.1
Kestrel Capital Nominees Ltd A/C Krohne fund	7,000,000	1
Kenya Commercial Bank Nominees Ltd A/C 915B	6,917,811	0.99
Kenya Commercial Bank Nominees Ltd A/C 915A	6,796,943	0.97
Standard Chartered Nominees Non-Resd. A/C KE10085	6,000,000	0.86
Others	186,412,656	26.63
	699,949,068	100

The distribution of the Company's shareholding is as shown below:

Shares Range	Shareholders	Number of Shares	% Shareholding
1 - 500	73,685	15,620,843	2.23
501 - 1,000	14,511	10,161,418	1.45
1,001 - 5,000	11,842	22,720,483	3.25
5,001 - 10,000	1,143	8,005,130	1.14
10,001 - 50,000	967	19,406,084	2.77
50,001 - 100,000	111	7,839,551	1.12
100,001 - 500,000	125	25,513,914	3.65
500,001- 1,000,000	30	20,681,559	2.95
1,000,000-2,000,000,000	32	570,000,086	81.44
	102,446	699,949,068	100

The distribution of the shareholders based on their nationalities is as follows:

Nationality	Shareholders	Shares held	% Shareholding
Local Individual Investors	96,411	84,091,098	12.01
Local Institutional Investors	5,539	518,862,061	74.13
Foreign Investors	496	96,995,909	13.86
	102,942	699,949,068	100.00

David Kemei
Director

Anthony Munyao
Director

28th March 2019

KENYA REINSURANCE CORPORATION LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2018

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Group and the Company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the company keeps proper accounting records that: (a) show and explain the transactions of the company; (b) disclose, with reasonable accuracy, the financial position of the company; and (c) enable the directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

(i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;

(ii) selecting suitable accounting policies and applying them consistently; and

(iii) making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the Group's and the Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Group's and the Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 28th March 2019 and signed on its behalf by:

Jadiah Mwarania	David Kemei	Anthony Munyao
Principal Officer	Director	Director

Kenya Reinsurance Corporation Limited

Actuarial Valuation as at 31 December 2018

Actuary's Solvency Certificate

I, James Israel Omanyala Olubayi of Zamara Actuaries, Administrators and Consultants Limited, Landmark Plaza, 10th Floor, Landmark Plaza Argwings Kodhek, P.O. Box 52439 Nairobi, being an Actuary duly qualified in terms of Section 2 of the Insurance Act having conducted an investigation in terms of Sections 57 and 58 of that Act as at 31 December 2018 do hereby certify as under: -

a) that in my opinion the value placed upon the aggregate liabilities relating to the Statutory Funds of Kenya Reinsurance Corporation Limited in respect of policies on the basis of valuation adopted by me is not less than what it would have been if the aggregate value had been calculated on the minimum basis prescribed;

b) that necessary steps as required under Section 58 (5) (a) were taken; and

c) that I am satisfied that the valuation of assets adopted by me are, on the basis of the Auditor's certificates appended to the balance sheet, fully of the value so adopted.

James I. O. Olubayi
Fellow of the Institute and Faculty of Actuaries

Nairobi

March 2019

INFORMATION NOT SUBJECT TO AUDIT

The Corporation's directors' remuneration policy and strategy

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly stipulate remuneration elements such as directors' fees, honorarium and attendance allowances that are competitive and in line with those of other agencies in the industry.

In accordance with the guidelines provided under the State Corporations Act and by the Salaries and Remuneration Commission as well as shareholder approval granted at the Annual General Meeting; the directors are paid a taxable director's fee at KShs 80,000 for every month served (KShs 960,000 per annum) and a sitting allowance of KShs 20,000 for every meeting attended. The Chairman is also paid a monthly honorarium of KShs 80,000.

Kenya Reinsurance Corporation Limited does not grant personal loans, guarantees, share options or incentives to its non-executive directors. The Managing Director is entitled to such loans as are available to other employees as per the Corporation's human resource policies.

Contract of service

In accordance with the Capital Markets Authority (CMA) regulations on non-executive directors and the Corporation's Articles of Association, a third of the directors retire every year by rotation and subject themselves to election at every Annual General Meeting by the shareholders.

The Managing Director and Chief Executive Officer (CEO) had a five year renewable contract of service with the Corporation starting 12 April 2016.

Changes to directors' remuneration

During the period, there were no changes in directors' remuneration which is set as per the guidelines provided in the State Corporations Act and by the Salaries and Remuneration Commission.

Statement of voting on the directors' remuneration report at the previous Annual General Meeting

During the Annual General Meeting held on 21 June 2018, the shareholders approved directors' remuneration for the year ended 31 December 2018 by show of hands.

At the Annual General Meeting to be held on 20 June 2019, approval will be sought from shareholders of this Directors' remuneration report for the financial year ended 31 December 2018.

INFORMATION SUBJECT TO AUDIT

The following tables show the remuneration for the Managing Director and CEO and Non-Executive Directors in respect of qualifying services for the year ended 31 December 2018 together with the comparative figures for 2017.

YEAR ENDED 31 DECEMBER 2018

DIRECTOR	CATEGORY	GROSS PAYMENTS	DIRECTOR FEES	ALLOWANCES	TOTAL
		KShs	KShs	KShs	KShs
David Kibet Kemei	Chairman, Non-Executive		960,000	2,080,000	3,040,000
Jadiah Mwarania	Managing Director	22,242,000	-	960,000	23,202,000
Chiboli Shakaba	Non -Executive	-	960,000	1,144,000	2,104,000
Everest Lenjo	Non -Executive	-	960,000	1,562,000	2,522,000
Felista Seenoi Ngatuny	Non -Executive	-	960,000	1,280,000	2,240,000
Felix Okatch	Non -Executive	-	960,000	1,262,000	2,222,000
Jennifer Karina	Non -Executive	-	960,000	1,214,000	2,174,000
Maina Mukoma	Non -Executive	-	960,000	1,626,000	2,586,000
Anthony Muthama Munyao	Non -Executive	-	960,000	1,492,000	2,452,000
Zipporah Kinanga Mogaka	Non -Executive	-	960,000	1,378,000	2,338,000
Protus Sigei (alternate to CS Treasury)	Non -Executive	-	-	1,446,000	1,446,000
Cabinet Secretary - The National Treasury	Non -Executive	-	960,000	-	960,000
TOTAL		22,242,000	9,600,000	15,444,000	47,286,000

INFORMATION SUBJECT TO AUDIT (continued)

YEAR ENDED 31 DECEMBER 2017

DIRECTOR	CATEGORY	GROSS PAYMENTS	DIRECTOR FEES	ALLOWANCES	TOTAL
		KShs	KShs	KShs	KShs
David Kibet Kemei	Chairman, Non-Executive	-	1,320,000	2,220,000	3,540,000
Jadiah Mwarania	Managing Director	21,618,000	-	120,000	21,738,000
Chiboli Shakaba	Non -Executive	-	1,320,000	1,056,000	2,376,000
Everest Lenjo	Non -Executive	-	1,320,000	1,146,000	2,466,000
Felista Seenoi Ngatuny	Non -Executive	-	1,320,000	1,036,000	2,356,000
Felix Okatch	Non -Executive	-	1,320,000	1,156,000	2,476,000
Jennifer Karina	Non -Executive	-	1,320,000	932,000	2,252,000
Maina Mukoma	Non -Executive	-	1,320,000	1,434,000	2,754,000
Anthony Muthama Munyao (Appointed on 17 June 2016)	Non -Executive	-	1,152,822	1,290,000	2,442,822
Zipporah Kinanga Mogaka (Appointed on 17 June 2016)	Non -Executive	-	1,152,822	1,352,000	2,504,822
Protus Sigei (alternate to CS Treasury)	Non -Executive	-	-	998,000	998,000
Cabinet Secretary - The National Treasury	Non -Executive	-	1,320,000	-	1,320,000
Dr Lumbi Wa Nabea (Retired on 17 June 2016)	Non -Executive	-	166,767	-	166,767
Priscilla Muthoni Mwangi (Retired on 17 June 2016)	Non -Executive	-	166,767	-	166,767
TOTAL		21,618,000	13,199,178	12,740,000	47,557,178

Approved by the board of directors on 28th March 2019 and signed on its behalf by:

BY ORDER OF THE BOARD

Secretary

Nairobi
28th March 2019

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LLP/2015/52

INDEPENDENT AUDITORS' REPORT
TO THE AUDITOR GENERAL ON THE FINANCIAL STATEMENTS OF
KENYA REINSURANCE CORPORATION LIMITED

REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Opinion

We have audited the accompanying consolidated and separate financial statements of Kenya Reinsurance Corporation Limited (the Company) and its subsidiaries (together, the Group) set out on pages 20 to 98, which comprise the consolidated and separate statements of financial position as at 31 December 2018, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group and the Company as at 31 December 2018, and its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the Group and the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code). We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and in accordance with other ethical requirements applicable to performing audits of financial statements in Kenya. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current year. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: C O Atinda, H C Wasike, G Gitahi, M M Kimoni, C W Mbogo, A K Gichuhi, A M Muthusi, J M Ngong'a, F N M Kamau, N M Muhoya, T O Nyakoe, C A Munda, C N Kirathe.
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No.	Key audit matter	How our audit addressed the key audit matter
1.	Credit risk and impairment of reinsurance receivables balances	
	Impairment of receivables is a subjective area due to the significant judgment and assumptions applied by management. The estimation of impaired receivables is made based on review of outstanding amounts at year-end. As disclosed in note 2 to the consolidated and separate financial statements, judgement is applied in determining the appropriate parameters and assumptions used to calculate impairment of the receivables. For example, the assumptions of customers that will default, the expected future cash flows from the customers and the timing of the cash flows. Due to the significance of the reinsurance receivable balances to the consolidated and separate financial statements, and the significant judgement involved in calculating impairment losses on the receivables, particularly regarding the estimation of the amount and timing of expected future cash collections, this was considered a key audit matter. We also considered there to be a risk that the disclosures in notes 2 and 24 on impairment of receivables are not complete.	Our audit procedures included the following: • Testing and evaluation of controls over the underwriting process, recording and ageing of outstanding reinsurance receivables, and monitoring of the receivables by the Group's credit control department. • Evaluating the adequacy of the allowance for doubtful accounts, including the appropriateness of the methodology used and assumptions made to calculate the allowance. • Testing, on a sample basis, whether the Group's assumptions on the expected future cash flows and timing of the cash flows were supported. • Evaluating whether the disclosures made in the consolidated and separate financial statements reflect the Group's credit risk and impairment provision on the receivables.
2.	Reinsurance contract liabilities	
	The valuation of the Group's reinsurance contracts is dependent on a number of subjective assumptions about future experience as disclosed in notes 2, 35 and 36 to the consolidated and separate financial statements. Some of the economic and non-economic actuarial assumptions used in valuing insurance contracts are judgemental, in particular persistency (the retention of policies over time), longevity (the expectation of how long an annuity policyholder will live and how that might change over time), expenses (future expenses incurred to maintain existing policies to maturity). The Group uses external actuaries to value both the life and non -life reinsurance contract liabilities. This matter was considered significant to our audit because of the sensitivity of the valuation of the reinsurance contract liabilities to changes in the key assumptions. We also considered there to be a risk that the disclosures in notes 2, 35 and 36 above are significant to the understanding of the Group's reinsurance contract liabilities are not complete.	Our audit procedures included the following: • Testing, on a sample basis, the key controls around the processes for analysing the economic and noneconomic assumptions used in the valuation of the reinsurance contract liabilities. • Assessing the appropriateness of management's liability adequacy testing which is a key test performed to check that the liabilities are adequate as compared to the expected future contractual obligations. Our audit procedures on the liability adequacy testing included reviewing the assumptions adopted in the context of both the Group and industry experience and specific product features. • Considering recent experience and the reasonableness of the judgements applied by management on how future experience will evolve. • Assessing the completeness of the disclosures regarding the reinsurance contract liabilities in the consolidated and separate financial statements.

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3.	Revenue recognition - premiums income and un-earned premium reserves	
	The Group's business involves underwriting policies with tenure that does not align with the reporting period. The Group has estimated unearned premium reserves as disclosed in note 39 to the consolidated and separate financial statements using a rate of 40% of the written premiums to defer premium income written but not earned during the reporting period. We considered this to be a key audit matter since the Group's financial results are significantly sensitive to changes in this assumption. We also considered there to be a risk that revenue is inappropriately reported to achieve desired financial results. We assessed that the opportunity to manipulate revenue creates a heightened risk in the area of recording premium income in the improper period by not observing proper cut off procedures.	Our audit approach included controls testing and substantive procedures covering, in particular: • Testing, on a sample basis, key controls over the underwriting process. • Performing an analysis of premium income and unearned premiums based on our industry knowledge and forming an expectation of revenue based on key performance indicators taking into account changes in the Group's business. • Reviewing supporting documentation for premium income on a sample basis. • Checking that adjustments to premium income after year-end were supported and processed in the correct period. • Checking whether the assumptions used to determine the un-earned premium reserves were supported. • Assessing the adequacy of the Group's disclosures in respect of revenue.
4.	Valuation of investment property	
	As at 31 December 2018, the carrying amount of the Group's investment property was KShs 10 billion as disclosed in note 18 to the consolidated and separate financial statements. The investment property is measured at fair value in accordance with International Accounting Standard (IAS) 40 *Investment Property*. The Group's policy is to revalue the investment property annually using an external valuer. Given that the fair value of investment property involves significant estimation and assumptions, such as comparative active market prices and adjustments for differences in the nature, location or condition of the property, and the importance of the disclosures in notes 3(ii) and 18 relating to the assumptions used in the valuation, we considered this as a key audit matter.	Our audit procedures included the following: • Evaluating the objectivity and independence of the external valuer. • Assessing whether the underlying assumptions applied in the determination of the fair value were supported in the context of the industry and nature of the investment property. • Assessing whether the valuation methodologies and assumptions adopted in determining the fair values of the investment property were in accordance with IFRS. • Evaluating whether the determined fair values were comparable to the market values for similar property in similar locations. • Assessing the adequacy of the Group's disclosures in respect of the methodology and assumptions used in valuation.

5.	**Accounting for tax positions**	
	Tax positions were significant to our audit because the assessment process involves judgement in the interpretation and application of tax laws and in assessing tax liabilities and contingencies that could arise from tax audits. In addition, the Group operates in different countries, all with different tax regimes and is therefore open to tax assessments from multiple tax authorities. Determination of provisions and contingent liabilities for income tax and indirect taxes requires the directors to make judgements and estimates in relation to the income tax computations and exposures arising from open tax assessments. As disclosed in note 44 to the consolidated and separate financial statements, the Group has open tax assessments of KShs 1.3 billion which is significant to the consolidated and separate financial statements. The determination of provisions and contingent liabilities arising from the open tax assessments make this a particular area of significant judgement. We also considered there to be a risk that the tax disclosures in notes 11, 37 and 44 which are significant to the understanding of the Group's tax position are not complete.	Our audit procedures included the following: • Understanding the Group's processes for the recording and re-assessment of tax provisions and contingent liabilities. • Included in our team tax specialists to analyse the tax positions and to evaluate the assumptions used to determine tax positions. • Performing audit procedures on the completeness and correctness of the amounts recognized as current and deferred tax. • Reviewing the correspondence with tax authorities and reports of the lawyers involved in the open tax assessments to evaluate whether the recognised tax positions are supported. • Assessing the adequacy of the Group's disclosures in respect of tax.
6.	**Implementation of new information technology (IT) system**	
	During the year, the Group implemented a new IT system, Storebrand International Contract System (SICS), in all the locations. The change of IT system entailed new processes, controls and delegation of authority being set up as well as the migration of operational and financial data from the legacy systems to the new system. The IT system change process was significant for the audit because of the inherent risks associated with IT system change processes including breakdown of IT dependent controls and loss of integrity of financial data migrated.	Our audit procedures included the following: • We considered the Group's processes and project governance over the IT system change process. • We tested the controls over change management and the migration of key financial data from the legacy system to SICS. We also tested the SICSIT general control environment, including access controls and backup operations. • We tested whether account balances were correctly migrated from the legacy systems to SICS by checking that the balances in the legacy systems and SICS were reconciled.

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Other Information

The directors are responsible for the other information. The other information comprises the Group Information, Report of the Directors, Statement on Corporate Governance, Statement of Directors' Responsibilities, Report of the Consulting Actuary and Directors' Remuneration Report, which we obtained prior to the date of this report, and the Annual Report, which is expected to be made available to us after that date. The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for overseeing the Group's and Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and / or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER MATTERS PRESCRIBED BY THE KENYAN COMPANIES ACT, 2015

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

i) in our opinion, the information given in the report of the directors on pages 2 to 4 is consistent with the consolidated and separate financial statements; and,

ii) in our opinion, the auditable part of directors' remuneration report on pages 12 to 13 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report was CPA Herbert C. Wasike, Practising Certificate No. P.1485.

Nairobi, Kenya

28 / 3 / 2019

KENYA REINSURANCE CORPORATION LIMITED
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2018

	Notes	Long term[1] business 2018 KShs '000	Short term[1] Business 2018 KShs '000	Total 2018 KShs '000	Total 2017 KShs '000
INCOME					
Gross premiums written		1,905,287	12,933,106	14,838,393	14,827,296
Less: change in unearned premiums	39	-	190,991	190,991	(600,239)
Less: retrocession premiums		(105,146)	(718,262)	(823,408)	(547,481)
NET EARNED PREMIUMS	6	1,800,141	12,405,835	14,205,976	13,679,576
Investment income	7	410,176	2,976,001	3,386,177	3,165,314
Commissions recovered		5,265	35,964	41,229	98,416
Fair value gains on revaluation of investment properties	18	64,586	332,625	397,211	672,077
Other income	8	-	54,876	54,876	70,282
Share of associate profits	19	-	180,865	180,865	504,069
TOTAL INCOME		2,280,168	15,986,166	18,266,334	18,189,734
CLAIMS AND BENEFITS					
Gross claims incurred and policy holder benefits	9	(931,699)	(8,524,518)	(9,456,217)	(8,110,686)
Less: Re-insurers share of claims and policy holder benefits	9	64,399	561,568	625,967	512,144
NET CLAIMS AND BENEFITS		(867,300)	(7,962,950)	(8,830,250)	(7,598,542)
Cedant acquisition costs	10(a)	(502,023)	(3,388,232)	(3,890,255)	(3,928,700)
Operating and other expenses	10(b)	(237,953)	(1,781,881)	(2,019,834)	(1,709,036)
Provision for doubtful debts	25	-	(424,145)	(424,145)	(394,905)
TOTAL CLAIMS, BENEFITS, AND OTHER EXPENSES		(1,607,276)	(13,557,208)	(15,164,484)	(13,631,183)
PROFIT BEFORE TAX		672,892	2,428,958	3,101,850	4,558,551
INCOME TAX EXPENSE	11(a)	(232,446)	(591,122)	(823,568)	(981,211)
PROFIT FOR THE YEAR		440,446	1,837,836	2,278,282	3,577,340
OTHER COMPREHENSIVE INCOME					
Items that will not be reclassified subsequently to profit or loss:					
Share of gain on property revaluation of associate	19	-	401	401	11,522
Remeasurement gains/ (losses) on defined benefit plans, net of tax	21	-	(22,305)	(22,305)	(36,882)
Items that may be reclassified subsequently to profit or loss:					
Reclassification adjustment relating to available-for-sale financial assets disposed in the year	7	-	(201,532)	(201,532)	(258,669)
Net gains / (losses) on revaluation of available-for-sale quoted equity instruments	27	-	(328,495)	(328,495)	315,208
Net gains on revaluation of available-for-sale government securities	28	-	46,896	46,896	47,323
Share of movement in associate reserves:					
- currency translation	19	-	(45,990)	(45,990)	(43,209)
- fair value reserve	19	-	35,649	35,649	19,113
TOTAL OTHER COMPREHENSIVE INCOME		-	(515,376)	(515,376)	54,406
TOTAL COMPREHENSIVE INCOME		440,446	1,322,460	1,762,906	3,631,746
EARNINGS PER SHARE - basic and diluted	12			3.25	5.11

[1] The comparatives are as disclosed in the segment reporting section in Note 5 to the financial statements.

KENYA REINSURANCE CORPORATION LIMITED
COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2018

	Notes	Long term[2] Business 2018 KShs '000	Short term[2] Business 2018 KShs '000	Total 2018 KShs '000	Total 2017 KShs '000
INCOME					
Gross premiums written		1,900,423	12,146,618	14,047,041	13,992,143
Less: change in unearned premiums	39	-	208,661	208,661	(483,264)
Less: retrocession premiums		(105,146)	(698,812)	(803,958)	(547,481)
NET EARNED PREMIUMS	6	1,795,277	11,656,467	13,451,744	12,961,398
Investment income	7	410,176	2,955,067	3,365,243	3,146,422
Commissions recovered		5,265	29,156	34,421	98,416
Fair value gains on revaluation of investment properties	18	64,586	332,625	397,211	672,077
Other income	8	-	54,876	54,876	61,138
Share of associate profits	19	-	180,865	180,865	504,069
TOTAL INCOME		2,275,304	15,209,056	17,484,360	17,443,520
CLAIMS AND BENEFITS					
Gross claims incurred and policy holder benefits	9	(931,699)	(8,235,928)	(9,167,627)	(7,560,480)
Less: Re-insurers share of claims and policy holder benefits	9	64,399	561,568	625,967	512,144
NET CLAIMS AND BENEFITS		(867,300)	(7,674,360)	(8,541,660)	(7,048,336)
Cedant acquisition costs	10(a)	(502,023)	(3,148,358)	(3,650,381)	(3,729,966)
Operating and other expenses	10(b)	(237,953)	(1,662,615)	(1,900,568)	(1,637,378)
Provision for doubtful debts	25	-	(358,478)	(358,478)	(279,338)
TOTAL CLAIMS, BENEFITS AND OTHER EXPENSES		(1,607,276)	(12,843,811)	(14,451,087)	(12,695,018)
PROFIT BEFORE TAX		668,028	2,365,245	3,033,273	4,748,502
INCOME TAX EXPENSE	11(a)	(232,446)	(591,122)	(823,568)	(981,211)
PROFIT FOR THE YEAR		435,582	1,774,123	2,209,705	3,767,291
OTHER COMPREHENSIVE INCOME					
Items that will not be reclassified subsequently to profit or loss:					
Share of gain on property revaluation of associate	19	-	401	401	11,522
Remeasurement gains/ (losses) on defined benefit plans, net of tax	21	-	(22,305)	(22,305)	(36,882)
Items that may be reclassified subsequently to profit or loss:					
Reclassification adjustment relating to available-for-sale financial assets disposed in the year	7	-	(201,532)	(201,532)	(258,669)
Net (losses) / gains on revaluation of available-for-sale quoted equity instruments	27	-	(328,495)	(328,495)	315,208
Net gains on revaluation of available-for-sale government securities	28	-	46,896	46,896	47,323
Share of movement in associate reserves:					-
- currency translation	19	-	(45,990)	(45,990)	(43,209)
- fair value reserve	19	-	35,649	35,649	19,113
TOTAL OTHER COMPREHENSIVE INCOME		-	(515,376)	(515,376)	54,406
TOTAL COMPREHENSIVE INCOME		435,582	1,258,747	1,694,329	3,821,697
EARNINGS PER SHARE - basic and diluted	12			3.16	5.38

[2] The comparatives are as disclosed in the segment reporting section in Note 5 to the financial statements.

KENYA REINSURANCE CORPORATION LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2018

	Notes	Long term[3] Business 2018 KShs '000	Short term[3] Business 2018 KShs '000	Total 2018 KShs '000	Total 2017 KShs '000
EQUITY					
Share capital	13	500,000	1,249,873	1,749,873	1,749,873
Revaluation reserve	14	-	15,718	15,718	15,317
Fair value reserve	14	(7,556)	(61,114)	(68,670)	378,812
Translation reserve	14	-	281,568	281,568	327,558
Statutory reserve	34	4,379,937	-	4,379,937	3,939,491
Retained earnings	14	-	22,014,607	22,014,607	20,794,033
TOTAL EQUITY		4,872,381	23,500,652	28,373,033	27,205,084
ASSETS					
Property and equipment	15	-	91,631	91,631	76,559
Intangible assets	16	364,719	223,537	588,256	536,122
Investment properties	18	1,675,000	8,430,000	10,105,000	9,622,000
Investment in associate	19	-	4,473,962	4,473,962	4,399,320
Unquoted equity instruments	22	-	202,231	202,231	202,231
Non-current assets held for sale	31	-	-	-	23,000
Mortgage loans	17	-	725,862	725,862	658,425
Corporate bonds	23	-	475,912	475,912	482,696
Receivables arising out of reinsurance and retrocession arrangements	24	220,391	3,452,785	3,673,176	4,315,378
Premium and loss reserves	25	-	271,655	271,655	306,956
Deferred acquisition costs	30	-	1,363,134	1,363,134	1,408,301
Other receivables	26	-	224,806	224,806	248,628
Income tax receivable	11(c)	303,359	138,617	441,976	126,869
Quoted equity instruments	27	287,773	1,311,658	1,599,431	2,107,855
Government securities	28	2,323,736	11,991,016	14,314,752	14,562,840
Inventory	29	-	13,590	13,590	19,897
Deposits with financial institutions	32	4,269,444	1,189,781	5,459,225	3,408,386
Cash and bank balances	33	6,761	331,274	338,035	227,204
TOTAL ASSETS		9,451,183	34,911,451	44,362,634	42,732,667
LIABILITIES					
Long term reinsurance contract liabilities	34	2,629,125	-	2,629,125	2,392,423
Short term reinsurance contracts liabilities	35	-	6,002,946	6,002,946	5,737,138
Deferred tax liability	37	1,850,773	(766,991)	1,083,782	944,987
Employee defined benefit liability	21	-	55,462	55,462	25,226
Payables arising out of reinsurance arrangements	36	98,904	450,562	549,466	670,487
Other payables	38	-	745,869	745,869	643,380
Unearned premiums	39	-	4,922,951	4,922,951	5,113,942
TOTAL LIABILITIES		4,578,802	11,410,799	15,989,601	15,527,583
NET ASSETS		4,872,381	23,500,652	28,373,033	27,205,084

The financial statements were approved by the board of directors on 28th March 2019 and were signed on its behalf by:

Jadiah Mwarania	David Kemei	Anthony Munyao
Principal Officer	Director	Director

[3] The comparatives are as disclosed in the segment reporting section in Note 5 to the financial statements.

KENYA REINSURANCE CORPORATION LIMITED
COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2018

	Notes	Long term[4] Business 2018 KShs '000	Short term[4] Business 2018 KShs '000	Total 2018 KShs '000	Total 2017 KShs '000
EQUITY					
Share capital	13	500,000	1,249,873	1,749,873	1,749,873
Revaluation reserve	14	-	15,718	15,718	15,317
Fair value reserve	14	(7,556)	(61,114)	(68,670)	378,812
Translation reserve	14	-	282,348	282,348	328,338
Statutory reserve	34	4,320,953	-	4,320,953	3,885,371
Retained earnings	14	-	22,165,652	22,165,652	21,008,791
TOTAL EQUITY		4,813,397	23,652,477	28,465,874	27,366,502
ASSETS					
Property and equipment	15		68,541	68,541	56,962
Intangible assets	16	364,719	223,537	588,256	536,122
Investment properties	18	1,675,000	8,430,000	10,105,000	9,622,000
Investment in associate	19	-	4,473,962	4,473,962	4,399,320
Investment in subsidiary companies	20	-	187,782	187,782	187,782
Unquoted equity instruments	22		202,231	202,231	202,231
Non-current assets held for sale	31	-	-	-	23,000
Mortgage loans	17	-	716,550	716,550	658,423
Corporate bonds	23		475,912	475,912	482,696
Receivables arising out of reinsurance and retrocession arrangements	24	197,772	3,098,428	3,296,200	3,988,095
Premium and loss reserves	25	-	170,731	170,731	184,420
Deferred acquisition costs	30	-	1,249,752	1,249,752	1,318,322
Due from related party	42	-	93,820	93,820	63,438
Other receivables	26	-	212,125	212,125	228,918
Income tax receivable	11(c)	224,675	186,281	410,956	95,850
Quoted equity instruments	27	287,773	1,311,658	1,599,431	2,107,855
Government securities	28	2,323,736	11,991,016	14,314,752	14,562,840
Inventory	29	-	13,492	13,492	19,897
Deposits with financial institutions	32	4,292,169	920,336	5,212,505	3,092,508
Cash and bank balances	33	6,761	154,455	161,216	153,247
TOTAL ASSETS		9,372,605	34,180,609	43,553,214	41,983,926
LIABILITIES					
Long term reinsurance contract liabilities	34	2,629,125	-	2,629,125	2,392,423
Short term reinsurance contracts liabilities	35	-	5,553,840	5,553,840	5,319,405
Payables arising out of reinsurance arrangements	36	79,310	361,301	440,611	480,676
Deferred tax liability	37	1,850,773	(766,991)	1,083,782	944,987
Employee defined benefit liability	21		55,462	55,462	25,226
Due to related party	42	-	43,091	43,091	61,380
Other payables	38	-	708,769	708,769	612,005
Unearned premiums	39	-	4,572,660	4,572,660	4,781,322
TOTAL LIABILITIES		4,559,208	10,528,132	15,087,340	14,617,424
NET ASSETS		4,813,397	23,652,477	28,465,874	27,366,502

The financial statements were approved by the board of directors on 28th March 2019 and were signed on its behalf by:

Jadiah Mwarania	David Kemei	Anthony Munyao
Principal Officer	Director	Director

[4] The comparatives are as disclosed in the segment reporting section in Note 5 to the financial statements.

KENYA REINSURANCE CORPORATION LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2018

	Notes	Share capital KShs '000	Revaluation reserve KShs '000	Fair value reserve KShs '000	Translation reserve KShs '000	Statutory reserve KShs '000	Retained earnings KShs '000	Total KShs '000
At 1 January 2017		1,749,873	3,795	255,837	370,767	3,502,132	18,250,893	24,133,297
Profit for the year		-	-	-	-	437,359	3,139,981	3,577,340
Other comprehensive income		-	11,522	122,975	(43,209)	-	(36,882)	54,406
Total comprehensive income		-	11,522	122,975	(43,209)	437,359	3,103,099	3,631,746
Dividends declared - 2016	40	-	-	-	-	-	(559,959)	(559,959)
At 31 December 2017		1,749,873	15,317	378,812	327,558	3,939,491	20,794,033	27,205,084
At 1 January 2018		1,749,873	15,317	378,812	327,558	3,939,491	20,794,033	27,205,084
Profit for the year		-	-	-	-	440,446	1,837,836	2,278,282
Other comprehensive income		-	401	(447,482)	(45,990)	-	(22,305)	(515,376)
Total comprehensive income		-	401	(447,482)	(45,990)	440,446	1,815,531	1,762,906
Dividends declared - 2017	40	-	-	-	-	-	(594,957)	(594,957)
At 31 December 2018		1,749,873	15,718	(68,670)	281,568	4,379,937	22,014,607	28,373,033

KENYA REINSURANCE CORPORATION LIMITED
COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2018

	Notes	Share capital KShs '000	Revaluation reserve KShs '000	Fair value reserve KShs '000	Translation reserve KShs '000	Statutory reserve KShs '000	Retained earnings KShs '000	Total KShs '000
At 1 January 2017		1,749,873	3,795	255,837	371,547	3,496,869	18,226,843	24,104,764
Profit for the year		-	-	-	-	388,502	3,378,789	3,767,291
Other comprehensive income		-	11,522	122,975	(43,209)	-	(36,882)	54,406
Total comprehensive income		-	11,522	122,975	(43,209)	388,502	3,341,907	3,821,697
Dividends declared - 2016	40	-	-	-	-	-	(559,959)	(559,959)
At 31 December 2017		1,749,873	15,317	378,812	328,338	3,885,371	21,008,791	27,366,502
At 1 January 2018		1,749,873	15,317	378,812	328,338	3,885,371	21,008,791	27,366,502
Profit for the year		-	-	-	-	435,582	1,774,123	2,209,705
Other comprehensive income		-	401	(447,482)	(45,990)	-	(22,305)	(515,376)
Total comprehensive income		-	401	(447,482)	(45,990)	435,582	1,751,818	1,694,329
Dividends declared - 2017	40	-	-	-	-	-	(594,957)	(594,957)
At 31 December 2018		1,749,873	15,718	(68,670)	282,348	4,320,953	22,165,652	28,465,874

KENYA REINSURANCE CORPORATION LIMITED
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2018

	Notes	2018 KShs '000	2017 KShs '000
Net cash generated from operations	41	1,210,624	1,683,873
Interest received on corporate bonds		58,004	59,530
Interest received on government securities		1,823,523	1,226,804
Interest received on staff mortgages and loans		18,745	16,411
Interest received on deposits with financial institutions		215,445	304,967
Interest received on commercial mortgages		47,828	54,748
Tax paid in the year	11(c)	(999,879)	(1,248,195)
Net cash generated from operating activities		2,374,290	2,098,138
Cash flows from investing activities			
Purchase of investment property	18	(85,789)	(46,923)
Purchase of property and equipment	15	(49,572)	(30,040)
Proceeds on sale of property and equipment		-	765
Proceeds on disposal of non-current assets held for sale		-	15,500
Purchase of intangible assets	16	(194,395)	(252,620)
Purchase of government securities	28	(7,751,243)	(5,401,776)
Proceeds on maturity of government securities	28	8,009,796	2,876,600
Proceeds on sale of quoted equity instruments	27	259,376	273,605
Proceeds on redemption of corporate bonds	23	5,925	5,925
Dividends received on quoted equity instruments		187,742	111,489
Net cash generated from/ (used in) investing activities		381,840	(2,447,475)
Cash flows used in financing activities			
Dividends paid	40	(594,957)	(559,959)
Net increase/ (decrease) in cash and cash equivalents		2,161,173	(909,296)
Cash and cash equivalents at 1 January		3,635,590	4,545,481
Effect of unrealised exchange rate changes		497	(595)
Cash and cash equivalent at 31 December	33	5,797,260	3,635,590

KENYA REINSURANCE CORPORATION LIMITED
COMPANY STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2018

	Notes	2018 KShs '000	2017 KShs '000
Net cash generated from operations	41	1,196,722	1,581,939
Interest received on corporate bonds		58,004	59,530
Interest received on government securities		1,823,523	1,226,804
Interest received on staff mortgages and loans		18,348	16,200
Interest received on deposits with financial institutions		184,563	286,284
Interest received on commercial mortgages		47,828	54,748
Tax paid in the year	11(c)	(999,879)	(1,248,194)
Net cash generated from operating activities		2,329,109	1,977,311
Cash flows from investing activities			
Purchase of investment property	18	(85,789)	(46,923)
Purchase of property and equipment	15	(37,940)	(10,916)
Proceeds on sale of property and equipment		-	765
Proceeds on disposal of non-current assets held for sale		-	15,500
Purchase of intangible assets	16	(194,395)	(252,620)
Purchase of government securities	28	(7,117,235)	(5,401,776)
Proceeds on maturity of government securities	28	7,375,788	2,876,600
Proceeds on sale of quoted equity instruments	27	259,376	273,605
Proceeds on redemption of corporate bonds	23	5,925	5,925
Dividends received on quoted equity instruments		187,742	111,489
Net cash generated from/ (used in) investing activities		393,472	(2,428,351)
Cash flows used in financing activities			
Dividends paid	40	(594,957)	(559,959)
Net increase/ (decrease) in cash and cash equivalents		2,127,624	(1,010,999)
Cash and cash equivalents at 1 January		3,245,755	4,257,349
Effect of unrealised exchange rate changes		342	(595)
Cash and cash equivalent at 31 December	33	5,373,721	3,245,755

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Statement of compliance with International Financial Reporting Standards (IFRS)

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS), as issued by the International Accounting Standards Board (IASB).

For purposes of reporting under the Kenyan Companies Act, 2015, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is represented by the statement of profit or loss and other comprehensive income.

(a) Basis of preparation

The consolidated financial statements are prepared on a going concern basis in compliance with International Financial Reporting Standards (IFRSs) and the requirements of the Kenyan Companies Act, 2015. The consolidated financial statements have been prepared on a historical cost basis, except for available -for sale investments and investment properties which have been measured at fair value and actuarially determined liabilities at their present value. The consolidated financial statements are presented in Kenya Shillings (KShs), rounded to the nearest thousand, which is also the functional currency.

The consolidated financial statements comprise the Group's and Company's statement of profit or loss and other comprehensive income, statements of financial position, statements of changes in equity, statements of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in profit or loss. Other comprehensive income comprises items of income and expenses (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by IFRSs. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the previous periods. Transactions with the owners of the Group in their capacity as owners are recognised in the statement of changes in equity.

The Group presents its statement of financial position broadly in order of liquidity from the least liquid to the most liquid. An analysis regarding recovery or settlement within twelve months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the notes.

The preparation of financial statements in conformity with International Financial Reporting Standards requires the use of estimates and assumptions. It also requires management to exercise its judgement in the process of applying the accounting policies adopted by the Group. Although such estimates and assumptions are based on the directors' best knowledge of the information available, actual results may differ from those estimates. The judgements and estimates are reviewed at the end of each reporting period, and any revisions to such estimates are recognised in the year in which the revision is made. The areas involving the judgements of most significance to the financial statements, and the sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year, are disclosed in note (2).

(b) Basis of consolidation

(i) Subsidiary

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 December 2018. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(b) Basis of consolidation (continued)

(i) Subsidiary (continued)

Specifically, the Company controls an investee if, and only if, the Company has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are de-consolidated from the date the control ceases.
All inter-company balances, transactions, income and expenses and profits and losses resulting from inter-company transactions are eliminated in full on consolidation.
Losses within a subsidiary are attributed to the non-controlling interest even if this results in a deficit balance.
A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Company loses control over a subsidiary, it:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary
- Derecognises the carrying amount of any non-controlling interest
- Derecognises the cumulative translation differences recorded in equity
- Recognises the fair value of the consideration received
- Recognises the fair value of any investment retained
- Recognises any surplus or deficit in profit or loss
- Reclassifies the parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other members of the Group.

(ii) The Group financial statements reflect the result of consolidation of the financial statements of the Company and its wholly owned subsidiaries, Kenya Reinsurance Corporation Limited Côte d`Ivoire and Kenya Reinsurance Corporation Zambia Limited.

(iii) Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(c) Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. The Group's identifiable assets and liabilities are measured at their acquisition-date fair value.

Non-controlling interests in an acquiree that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, are measured at either fair value or the present ownership instruments' proportionate share in the recognised amounts of the acquiree's net identifiable assets. This accounting policy choice can be made on an individual business combination basis.

Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss. It is then considered in the determination of goodwill.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IAS 39 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value recognised either in either profit or loss. Contingent consideration that is classified as equity is not re-measured and subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the amount recognised for non-controlling interests, and any previous interest held, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the re-assessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the of the acquiree are assigned to those units.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations

The Group applied for the first-time certain amendments to the standards, which are effective for annual periods beginning on or after 1 January 2018. The Group has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

The nature and the impact of each new standard and amendment is described below. Although these new standards and amendments applied for the first time in 2018, they did not have a material impact on the annual consolidated financial statements of the Group.

IFRS 15 Revenue from Contracts with Customers

IFRS 15 supersedes IAS 11 Construction Contracts, IAS 18 Revenue and related interpretations and it applies, with limited exceptions, to all revenue arising from contracts with its customers. IFRS 15 establishes a five-step model to account for revenue arising from contracts with customers and requires that revenue be recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. IFRS 15 requires entities to exercise judgement, taking into consideration all the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. In addition, the standard requires relevant disclosures. The Group's main revenue streams include premiums from insurance contracts, rental income from lease contracts and investment income from financial assets. These revenue streams are scoped out of IFRS 15, and hence the new standard did not have significant impact on initial application.

IFRS 9 Financial Instruments

IFRS 9 Financial Instruments replaces IAS 39 Financial Instruments: Recognition and Measurement for annual periods beginning on or after 1 January 2018, bringing together all three aspects of the accounting for financial instruments: classification and measurement; impairment; and hedge accounting.

As required by the Standards, in 2016, the Group performed a high-level impact assessment of all three aspects of IFRS 9. This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analyses or additional reasonable and supportable information being made available to the Group in the future. Overall, the Group expects no significant impact on its balance sheet and equity, except for the effect of applying the impairment requirements of IFRS 9. The Group expects a higher loss allowance resulting in a negative impact on equity and will perform a detailed assessment in the future to determine the extent.

The group met the eligibility criteria of the temporary exemption from IFRS 9 and opted to defer the application of IFRS 9 until the effective date of the new insurance contracts standard (IFRS 17) of annual reporting periods beginning on or after 1 January 2022, applying the temporary exemption from applying IFRS 9 as introduced by the amendments *(see below)*.

Amendments to IFRS 4 Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts

In September 2016, the IASB issued amendments to IFRS 4 to address issues arising from the different effective dates of IFRS 9 and the new insurance contracts standard (IFRS 17).
The amendments introduce two alternative options of applying IFRS 9 for entities issuing contracts within the scope of IFRS 4: a temporary exemption; and an overlay approach. The temporary exemption enables eligible entities to defer the implementation date of IFRS 9 for annual periods beginning before 1 January 2022 and continue to apply IAS 39 to financial assets and liabilities.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations

Amendments to IFRS 4 Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (continued)

An entity may apply the temporary exemption from IFRS 9 if: (i) it has not previously applied any version of IFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as FVPL; and (ii) its activities are predominantly connected with insurance on its annual reporting date that immediately precedes 1 April 2016. The overlay approach allows an entity applying IFRS 9 to reclassify between profit or loss and other comprehensive income an amount that results in the profit or loss at the end of the reporting period for certain designated financial assets being the same as if an entity had applied IAS 39 to these designated financial assets.

An entity can apply the temporary exemption from IFRS 9 for annual periods beginning on or after 1 January 2018. An entity may start applying the overlay approach when it applies IFRS 9 for the first time.

During 2016, the Group performed an assessment of the amendments and reached the conclusion that its activities are predominantly connected with insurance as at 31 December 2015. During 2018, there had been no significant change in the activities of the Group that requires reassessment. The Group opted to apply the temporary exemption from IFRS 9 and, therefore, continued to apply IAS 39 to its financial assets and liabilities in its reporting period starting on 1 January 2018.

IFRIC Interpretation 22 Foreign Currency Transactions and Advance Considerations

The Interpretation clarifies that, in determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which an entity initially recognises the non-monetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, then the entity must determine the date of the transactions for each payment or receipt of advance consideration. This Interpretation does not have any impact on the Group's consolidated financial statements since the Group's current practice is in line with the Interpretation.

Amendments to IAS 40 Transfers of Investment Property

The amendments clarify when an entity should transfer property, including property under construction or development into, or out of investment property. The amendments state that a change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use. A mere change in management's intentions for the use of a property does not provide evidence of a change in use. These amendments did not have any impact on the Group's consolidated financial statements as there were no transfers into or out of investment property during the year.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations (continued)

Amendments to IFRS 2 Classification and Measurement of Share-based Payment Transactions

The IASB issued amendments to IFRS 2 Share-based Payment that address three main areas: the effects of vesting conditions on the measurement of a cash-settled share-based payment transaction; the classification of a share-based payment transaction with net settlement features for withholding tax obligations; and accounting where a modification to the terms and conditions of a share-based payment transaction changes its classification from cash settled to equity settled. On adoption, entities are required to apply the amendments without restating prior periods, but retrospective application is permitted if elected for all three amendments and other criteria are met. The Group's accounting policy for cash-settled share-based payments is consistent with the approach clarified in the amendments. In addition, the Group has no share-based payment transaction with net settlement features for withholding tax obligations and had not made any modifications to the terms and conditions of its share-based payment transaction. Therefore, these amendments do not have any impact on the Group's consolidated financial statements.

Improvements to IAS 28 Investments in Associates and Joint Ventures-Clarification that measuring investees at fair value through profit or loss is an investment-by-investment choice

The amendments clarify that:

- An entity that is a venture capital organisation, or other qualifying entity, may elect, at initial recognition on an investment-by-investment basis, to measure its investments in associates and joint ventures at fair value through profit or loss.

- If an entity that is not itself an investment entity has an interest in an associate or joint venture that is an investment entity, the entity may, when applying the equity method, elect to retain the fair value measurement applied by that investment entity associate or joint venture to the investment entity associate's or joint venture's interests in subsidiaries. This election is made separately for each investment entity associate or joint venture, at the later of the date on which (a) the investment entity associate or joint venture is initially recognised; (b) the associate or joint venture becomes an investment entity; and (c) the investment entity associate or joint venture first becomes a parent.

The amendments should be applied retrospectively and are effective 1 January 2018, with earlier application permitted. If an entity applies those amendments for an earlier period, it must disclose that fact. These amendments are not applicable to the Group.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations (continued)

Standards issued but not yet effective

The standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's financial statements are disclosed below. The Group intends to adopt these standards, if applicable, when they become effective.

IFRS 16 Leases

IFRS 16 was issued in January 2016 and it replaces IAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease. IFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under IAS 17. The standard includes two recognition exemptions for lessees - leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of a lease, a lessee will recognise a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and the depreciation expense on the right-of-use asset. Lessees will be also required to remeasure the lease liability upon the occurrence of certain events (e.g., a change in the lease term, a change in future lease payments resulting from a change in an index or rate used to determine those payments). The lessee will generally recognise the amount of the re-measurement of the lease liability as an adjustment to the right-of-use asset.

Lessor accounting under IFRS 16 is substantially unchanged from today's accounting under IAS 17. Lessors will continue to classify all leases using the same classification principle as in IAS 17 and distinguish between two types of leases: operating and finance leases. IFRS 16, which is effective for annual periods beginning on or after 1 January 2019, requires lessees and lessors to make more extensive disclosures than under IAS 17. This will not have a material impact on the Group as it is mainly a lessor.

IFRS 17 Insurance Contracts

In May 2017, the IASB issued IFRS 17 Insurance Contracts, a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure, which replaces IFRS 4 Insurance Contracts. In contrast to the requirements in IFRS 4, which are largely based on grandfathering previous local accounting policies for measurement purposes, IFRS 17 provides a comprehensive model (the general model) for insurance contracts, supplemented by the variable fee approach for contracts with direct participation features that are substantially investment-related service contracts, and the premium allocation approach mainly for short-duration which typically applies to certain non-life insurance contracts.

The main features of the new accounting model for insurance contracts are, as follows:

- The measurement of the present value of future cash flows, incorporating an explicit risk adjustment, remeasured every reporting period (the fulfilment cash flows)
- A Contractual Service Margin (CSM) that is equal and opposite to any day one gain in the fulfilment cash flows of a group of contracts. The CSM represents the unearned profitability of the insurance contracts and is recognised in profit or loss over the service period (i.e., coverage period)
- Certain changes in the expected present value of future cash flows are adjusted against the CSM and thereby recognised in profit or loss over the remaining contractual service period
- The effect of changes in discount rates will be reported in either profit or loss or other comprehensive income, determined by an accounting policy choice

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations (continued)

Standards issued but not yet effective (continued)

IFRS 17 Insurance Contracts (continued)

- The recognition of insurance revenue and insurance service expenses in the statement of comprehensive income based on the concept of services provided during the period
- Amounts that the policyholder will always receive, regardless of whether an insured event happens (non-distinct investment components) are not presented in the income statement, but are recognised directly on the balance sheet
- Insurance services results (earned revenue less incurred claims) are presented separately from the insurance finance income or expense
- Extensive disclosures to provide information on the recognised amounts from insurance contracts and the nature and extent of risks arising from these contracts

IFRS 17 was initially effective for annual reporting periods beginning on or after 1 January 2021. On 14 November 2018, the International Accounting Standards Board (IASB or the Board) tentatively decided to amend the effective date of IFRS 17 to reporting periods beginning on or after 1 January 2022. Early application is permitted, provided the entity also applies IFRS 9 and IFRS 15 on or before the date it first applies IFRS 17. Retrospective application is required. However, if full retrospective application for a group of insurance contracts is impracticable, then the entity is required to choose either a modified retrospective approach or a fair value approach.
The Group plans to adopt the new standard on the required effective date together with IFRS 9. The Group expects that the new standard will result in an important change to the accounting policies for insurance contract liabilities of the Group and is likely to have a significant impact on profit and total equity together with presentation and disclosure.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations (continued)

Standards issued but not yet effective (continued)

IFRIC Interpretation 23 Uncertainty over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of IAS 12 and does not apply to taxes or levies outside the scope of IAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

An entity has to determine whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments. The approach that better predicts the resolution of the uncertainty should be followed. The interpretation is effective for annual reporting periods beginning on or after 1 January 2019, but certain transition reliefs are available. The Group will apply the interpretation from its effective date. Since the Group operates in a complex multinational tax environment, applying the Interpretation may affect its consolidated financial statements. In addition, the Group may need to establish processes and procedures to obtain information that is necessary to apply the Interpretation on a timely basis.

Amendments to IFRS 9: Prepayment Features with Negative Compensation

Under IFRS 9, a debt instrument can be measured at amortised cost or at fair value through other comprehensive income, provided that the contractual cash flows are 'solely payments of principal and interest on the principal amount outstanding' (the SPPI criterion) and the instrument is held within the appropriate business model for that classification. The amendments to IFRS 9 clarify that a financial asset passes the SPPI criterion regardless of the event or circumstance that causes the early termination of the contract and irrespective of which party pays or receives reasonable compensation for the early termination of the contract. The amendments should be applied retrospectively and are effective from 1 January 2019, with earlier application permitted. These amendments have no impact on the consolidated financial statements of the Group.

Amendments to IFRS 10 and IAS 28: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The amendments address the conflict between IFRS 10 and IAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that the gain or loss resulting from the sale or contribution of assets that constitute a business, as defined in IFRS 3, between an investor and its associate or joint venture, is recognised in full. Any gain or loss resulting from the sale or contribution of assets that do not constitute a business, however, is recognised only to the extent of unrelated investors' interests in the associate or joint venture. The IASB has deferred the effective date of these amendments indefinitely, but an entity that early adopts the amendments must apply them prospectively. The Group will apply these amendments when the effective is determined.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations (continued)

Standards issued but not yet effective (continued)

Amendments to IAS 19: Plan Amendment, Curtailment or Settlement

The amendments to IAS 19 address the accounting when a plan amendment, curtailment or settlement occurs during a reporting period. The amendments specify that when a plan amendment, curtailment or settlement occurs during the annual reporting period, an entity is required to:

- Determine current service cost for the remainder of the period after the plan amendment, curtailment or settlement, using the actuarial assumptions used to remeasure the net defined benefit liability (asset) reflecting the benefits offered under the plan and the plan assets after that event.
- Determine net interest for the remainder of the period after the plan amendment, curtailment or settlement using: the net defined benefit liability (asset) reflecting the benefits offered under the plan and the plan assets after that event; and the discount rate used to remeasure that net defined benefit liability (asset).

The amendments also clarify that an entity first determines any past service cost, or a gain or loss on settlement, without considering the effect of the asset ceiling. This amount is recognised in profit or loss. An entity then determines the effect of the asset ceiling after the plan amendment, curtailment or settlement. Any change in that effect, excluding amounts included in the net interest, is recognised in other comprehensive income.

The amendments apply to plan amendments, curtailments, or settlements occurring on or after the beginning of the first annual reporting period that begins on or after 1 January 2019, with early application permitted. These amendments will apply only to any future plan amendments, curtailments, or settlements of the Group.

Amendments to IAS 28: Long-term interests in associates and joint ventures

The amendments clarify that an entity applies IFRS 9 to long-term interests in an associate or joint venture to which the equity method is not applied but that, in substance, form part of the net investment in the associate or joint venture (long-term interests). This clarification is relevant because it implies that the expected credit loss model in IFRS 9 applies to such long-term interests.

The amendments also clarified that, in applying IFRS 9, an entity does not take account of any losses of the associate or joint venture, or any impairment losses on the net investment, recognised as adjustments to the net investment in the associate or joint venture that arise from applying IAS 28 Investments in Associates and Joint Ventures. The amendments should be applied retrospectively and are effective from 1 January 2019, with early application permitted. Since the Group does not have such long-term interests in its associate and joint venture, the amendments will not have an impact on its consolidated financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) New and amended standards and interpretations (continued)

Standards issued but not yet effective (continued)

Annual Improvements 2015-2017 Cycle (issued in December 2017)

These improvements include:

- IFRS 3 Business Combinations

The amendments clarify that, when an entity obtains control of a business that is a joint operation, it applies the requirements for a business combination achieved in stages, including remeasuring previously held interests in the assets and liabilities of the joint operation at fair value. In doing so, the acquirer remeasures its entire previously held interest in the joint operation. An entity applies those amendments to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period beginning on or after 1 January 2019, with early application permitted. These amendments will apply on future business combinations of the Group.

- IFRS 11 Joint Arrangements

A party that participates in, but does not have joint control of, a joint operation might obtain joint control of the joint operation in which the activity of the joint operation constitutes a business as defined in IFRS 3. The amendments clarify that the previously held interests in that joint operation are not remeasured. An entity applies those amendments to transactions in which it obtains joint control on or after the beginning of the first annual reporting period beginning on or after 1 January 2019, with early application permitted. These amendments are currently not applicable to the Group but may apply to future transactions.

- IAS 12 Income Taxes

The amendments clarify that the income tax consequences of dividends are linked more directly to past transactions or events that generated distributable profits than to distributions to owners. Therefore, an entity recognises the income tax consequences of dividends in profit or loss, other comprehensive income or equity according to where the entity originally recognised those past transactions or events. An entity applies those amendments for annual reporting periods beginning on or after 1 January 2019, with early application is permitted. When an entity first applies those amendments, it applies them to the income tax consequences of dividends recognised on or after the beginning of the earliest comparative period. Since the Group's current practice is in line with these amendments, the Group does not expect any effect on its consolidated financial statements.

IAS 23 Borrowing Costs

The amendments clarify that an entity treats as part of general borrowings any borrowing originally made to develop a qualifying asset when substantially all of the activities necessary to prepare that asset for its intended use or sale are complete. An entity applies those amendments to borrowing costs incurred on or after the beginning of the annual reporting period in which the entity first applies those amendments. An entity applies those amendments for annual reporting periods beginning on or after 1 January 2019, with early application permitted. Since the Group's current practice is in line with these amendments, the Group does not expect any effect on its consolidated financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Reinsurance contracts

(i) Classification

Reinsurance contracts are those contracts that transfer significant reinsurance risk. Such contracts may also transfer financial risk. As a general guideline, the Group defines significant reinsurance risk, as the possibility of having to pay benefits on the occurrence of a reinsured event that is at least 10% more than the benefits payable if the reinsured event did not occur. Reinsurance contracts are classified into two main categories, depending on the duration of risk and as per the provisions of the Kenyan Insurance Act.

(a) Short-term reinsurance business

Short term reinsurance business refers to reinsurance business of any class or classes that is not long term reassurance business.

Classes of short term reinsurance include aviation, engineering, fire (domestic risks, industrial and commercial risks), medical, liability, marine, motor (private vehicles and commercial vehicles), personal accident, theft, workmen's compensation, employer's liability and miscellaneous (i.e. any class of business not included under those listed above).

The Group's main classes are described below:

- Motor reinsurance business means the business of effecting and carrying out contracts of reinsurance against loss of, or damage to, or arising out of or in connection with the use of, motor vehicles, inclusive of third party risks but exclusive of transit risks.
- Fire reinsurance business refers to the business of effecting and carrying out contracts of reinsurance, other than incidental to some other class of reinsurance business against loss or damage to property due to fire, explosion, storm and other occurrences customarily included among the risks insured against in the fire insurance business.
- Medical reinsurance business means the business of underwriting the medical class of business offered by the insurers .This is to the individual or group in-patient or outpatient medical insurances'
- Miscellaneous reinsurance business refers to the business of effecting and carrying out contracts of reinsurance which are not principally or wholly of any types included in other classes of business but include reinsurance of bonds of all types, reinsurance of livestock and crop reinsurance.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Reinsurance contracts (continued)

(b) Long-term reassurance business

Includes reassurance business of all or any of the following classes: ordinary life and group life and business incidental to any such class of business.

Ordinary life reassurance business refers to the business of, or in relation to, the issuing of, or the undertaking of liability to pay money on death (not being death by accident or in specified sickness only) or on the happening of any contingency dependent on the termination or continuance of human life (either with or without provision for a benefit under a continuous disability reinsurance contract), and includes contracts which are subject to the payment of premiums for term dependent on the termination or continuance of human life. Group life reassurance business refers to the business of, or in relation to, the issuing of or the undertaking of liability under group life and permanent health reinsurance policies.

(ii) Recognition and measurement

The results of the reinsurance business are determined on an annual basis as follows:

a. Premium income

General reinsurance written premiums and related expenses are accounted for in profit or loss when earned or incurred. Gross earned premiums comprise gross premiums relating to risks assumed in the year after accounting for any movement in gross unearned premiums. Unearned premiums represent the proportion of the premiums written in the year that are attributable to the subsequent accounting period and are estimated at 40% of net premiums.

Recurring premiums on life contracts are recognised as revenue when payable by the policy holder. For single premium business, revenue is recognised on the date on which the policy is effective. Outward retrocession premiums are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective.

b. Claims incurred

General reinsurance claims incurred comprise claims paid in the period and changes in the provision for outstanding claims. Claims paid represent all payments made during the period, whether arising from events during that or earlier years. Outstanding claims represent the estimated ultimate cost of settling all claims arising from incidents occurring prior to the reporting date, but not settled at that date. Outstanding claims are computed on the basis of the best information available at the time the records for the period are closed and include provisions for claims incurred but not reported ("IBNR").

Benefits and claims for life reinsurance contracts include the cost of all claims arising during the year, including: internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims and surrenders are recorded on the basis of notifications received. Maturities and annuity payments are recorded when due.

c. Cedant acquisition costs and deferred acquisition costs

For general reinsurance business a proportion of cedant acquisition costs is deferred and amortised over the period in which the related premium is earned. Deferred acquisition costs represent the proportion of cedant acquisition costs and other acquisition costs that relate to the unexpired term of the policies that are in force at the year end. Cedant acquisition costs on life reinsurance contracts are recognised as an expense when incurred.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Reinsurance contracts (continued)

(ii) Recognition and measurement (continued)

d. Liability adequacy test

At each reporting date, liability adequacy tests are performed to ensure the adequacy of the contract liabilities. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used. Any deficiency is immediately charged to profit or loss by establishing a provision for losses arising from liability adequacy tests (the unexpired risk provision). Long-term reassurance contracts are measured based on assumptions set out at the inception of the contract. When the liability adequacy test requires the adoption of new best estimate assumptions, such assumptions (without margins for adverse deviation) are used for the subsequent measurement of these liabilities.

The Group underwrites both treaty and mandatory cessions business. Compulsory cessions ordinary life business is written on a risk premium basis. Accordingly, this business can be viewed as a series of one year renewable term assurances reinsured on guaranteed risk premium rates and valued as such. Therefore, the actuarial reserves are established as a proportion of gross annual premiums written. Each type or class of ordinary life business is valued as a different percentage of annual office premiums written.

e. Retrocession contracts held

Contracts entered into by the Group with retrocessionnaires under which the Group is compensated for losses on one or more contracts issued by the Group and that meet the classification requirements for retrocession contracts are classified as retrocession contracts held. Contracts that do not meet these classification requirements are classified as financial assets. Retrocession premiums payable are recognised in the period in which the related premium income and claims are earned /incurred, respectively. The benefits to which the Group is entitled under its retrocession contracts held are recognised as retrocession assets. These assets consist of short-term balances due from retrocessionnaires, as well as longer term receivables that are dependent on the expected claims and benefits arising under the related retrocession contracts. Amounts recoverable from or due to retrocessionnaires are measured consistently with the amounts associated with the retrocession contracts and in accordance with the terms of each retrocession contract. Retrocession liabilities are primarily premiums payable for retrocession contracts and are recognised as an expense when due.

The Group assesses its retrocession assets for impairment on a quarterly basis. If there is objective evidence that the retrocession asset is impaired, the Group reduces the carrying amount of the retrocession asset to its recoverable amount and recognises that impairment loss. The Group gathers the objective evidence that a retrocession asset is impaired using the same process adopted for financial assets held at amortised cost. The impairment loss is also calculated following the same method used for these financial assets.

f. Receivable and payables related to reinsurance contracts

Receivables and payables are recognised when due. These include amounts due to and from cedants and brokers. If there is objective evidence that the reinsurance receivable is impaired, the Group reduces the carrying amount of the reinsurance receivable accordingly and recognises the impairment loss in profit or loss. The Group gathers the objective evidence that a reinsurance receivable is impaired using the same process adopted for loans and receivables. The impairment loss is also calculated under the same method used for these financial assets. Receivables, together with the associated allowance are written off when there is no realistic prospect of future recovery. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in the statement of profit or loss.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Reinsurance contracts (continued)

(ii) Recognition and measurement (continued)

g. Premium and loss reserves

Premium and loss reserves relate to premiums retained by cedants as a deposit for due performance of obligations by the reinsurers. The percentage retained varies from one treaty to another and from one cedant to another. Premium and loss reserves are recognised when retained by the cedants. Premiums retained are subsequently released to the Group at the expiry of the policy period.

h. Other income recognition

Acquisition cost recoveries are recognised as income in the period in which they are earned. Interest income is recognised on a time proportion basis that takes into account the effective yield on the principal outstanding. Dividends receivable are recognised as income in the period in which the right to receive payment is established.

(f) Foreign currency transactions

The Group's consolidated financial statements are presented in Kenya Shillings (KShs), which is also the parent company's functional currency. For each entity, the Group determines the functional currency and items included in the financial statements of each entity are measured using that functional currency. Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Difference arising on settlement or translation of monetary items are recognised in profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or profit or loss are also recognised in OCI or profit or loss, respectively)

(g) Tax
Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(g) Tax (continued)

(ii) Deferred tax (continued)

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in associates, except where the company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(iii) Current and deferred tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

(h) Investment properties

Investment properties comprise land and buildings and parts of buildings held to earn rentals and/or for capital appreciation. Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured at fair value. Gains and losses arising from the changes in fair value of investment properties are included in profit or loss in the period which they arise.

An investment property is derecognised upon disposal or when investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property is included in profit or loss in the period which the property is derecognised.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(i) Property and equipment

Property and equipment is stated at cost less depreciation and any accumulated impairment losses.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Depreciation

Depreciation is calculated on the straight line basis to write off the cost of the property and equipment over their expected useful lives at the following annual rates:-

Computer equipment	25.0%
Motor vehicles	25.0%
Furniture, fittings and equipment	12. 5%

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

(j) Intangible assets - computer software and licenses

Intangible assets are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives, not exceeding a period of three years. The estimated useful life and amortisation method are reviewed at the end of each annual reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

Impairment

At each reporting date, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Recoverable amount is the higher of an asset's or CGU's fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.
In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. Any impairment losses are recognised as an expense immediately, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is recognised in OCI up to the amount of any previous revaluation. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss is recognised as income immediately, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(k) Non -current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the market value less costs to sell.

(l) Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the Company as a lessee. All other leases are classified as operating leases.

Group as a lessor

Rental income from operating leases is recognised on the straight line basis over the term of the relevant lease.

Group as a lessee

Rentals payable under operating leases are charged to profit or loss. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which the termination takes place. Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

(m) Inventories

Inventories comprise housing units for sale, stationery items and repair materials. Inventories are valued at the lower of cost and net realisable value. The cost of inventories is based on the weighted average cost and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

(n) Revaluation reserve

The revaluation reserve relates to equipment. The reserve is non-distributable. The revaluation surplus represents the surplus on the revaluation of equipment, net of deferred tax. Movements in the revaluation reserve are shown in the statement of changes in equity.

(o) Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of available-for-sale investments until the investment is derecognised.

(p) Translation reserve

The translation reserve relates to cumulative foreign exchange movement on the net investment in PTA Re, an associate company accounted for under the equity method and the foreign denominated subsidiaries.

(q) Statutory reserve

The statutory reserve represents actuarial surpluses from the long term business whose distribution is subject to restrictions imposed by the Kenyan Insurance Act. The Act restricts the amounts of surpluses of the long-term business available for distribution to shareholders to 30% of the accumulated profits of the long term business.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(r) Investment in associate

Investment in associate is accounted for using the equity method of accounting in both the separate and consolidated financial statements. The associate is a company in which the Group exercises significant influence but which it does not control. Significant influence is the power to participate in financial and operating policy decisions of the investment but it is not control or joint control over those policies.

Under the equity method, the investment in associate is carried in the statement of financial position at cost as adjusted for post-acquisition changes in the Group's share of the net assets of the associate, less any impairment in the carrying value of the investments. Losses of the associate in excess of the group's interest in the associate are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

(s) Investment in subsidiaries

Investments in subsidiaries are carried in the Company's separate statement of financial position at cost less provisions for impairment losses. Where in the opinion of directors, there has been impairment in the value of the investment; the loss is recognised as an expense in the period in which the impairment is recognised.

(t) Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. A financial asset or liability is recognised when the Group becomes party to the contractual provisions of the instrument.

Financial assets

The Group classifies its financial assets in the following categories: financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale financial assets. Management determines the appropriate classification of its financial assets at initial recognition and re-evaluates this at every reporting date. The classification depends on the purpose for which the financial assets were acquired.

Classification

Financial assets at fair value through profit or loss
This category has two sub-categories: financial assets held for trading, and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term, if it forms part of a portfolio of financial assets in which there is evidence of short term profit making, or if so designated by management. The Group has not designated any of its financial assets into this category.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those that the company intends to sell in the short term or that it has designated as at fair value through income or available-for-sale. These include mortgage loans, receivables arising out of reinsurance and retrocession arrangements, premium and loss reserves, rent receivables, deposits with financial institutions and other receivables. After initial measurement, such financial assets are subsequently measured at amortised cost. The losses arising from impairment are recognised in the statement of profit or loss under provisions for doubtful debts accounts.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(t) Financial instruments (continued)

Classification (continued)

Loans and receivables (continued)

The Group assesses its loans and receivables for impairment on a quarterly basis. If there is objective evidence that they are impaired, the Group reduces the carrying amount of the assets to its recoverable amount and recognises that impairment loss.

Loans and receivables, together with the associated allowance are written off when there is no realistic prospect of future. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in the statement of profit or loss.

Held-to-maturity
Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the positive intention and ability to hold to maturity. Were the group to sell or reclassify other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available-for-sale. This class includes government securities and corporate bonds. In the case of financial assets held to maturity, impairment of is assessed based on the same criteria as loans and receivables.

Available-for-sale (AFS) financial assets
This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity. This class includes quoted and unquoted equity instruments. The Group has also designated some government securities into this category.

Available for sale equity investments that do not have a quoted market price in an active market and whose fair value cannot be reliably measured, are measured at cost less any identified impairment losses at the end of each reporting period. These include the company's unquoted equities.

For AFS financial assets, the Group assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired. In the case of equity investments classified as AFS, objective evidence would include a significant or prolonged decline in the fair value of the investment below its cost. 'Significant' is evaluated against the original cost of the investment and 'prolonged' against the period in which the fair value has been below its original cost. When there is evidence of impairment, the cumulative loss - measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the statement of profit or loss - is removed from OCI and recognised in the statement of profit or loss. Impairment losses on equity investments are not reversed through profit or loss; increases in their fair value after impairment are recognised in OCI.

The determination of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the Group evaluates, among other factors, the duration or extent to which the fair value of an investment is less than its cost.

In the case of debt instruments classified as AFS, the impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the statement of profit or loss.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(t) Financial instruments (continued)

Financial assets (continued)

Recognition

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of financial assets carried at fair value through profit or loss are included in profit or loss in the period in which they arise.

Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the fair value reserve, with the exception of impairment losses, interest calculated using the effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments fair value reserve is reclassified to profit or loss.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the Company has transferred substantially all risks and rewards of ownership.

Financial liabilities

All financial liabilities are classified as other financial liabilities and are initially measured at fair value net of transaction costs. Financial liabilities are subsequently measured at amortised cost using the effective interest method.

Derecognition
A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

(u) Cash and cash equivalents

Cash and cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which are within three months of maturity when acquired, less advances from banks repayable within three months from the date of the advance.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(v) Retirement benefits obligations

Defined benefit scheme

The Group operates a defined benefit pension scheme (the "Scheme") for its employees. The assets of this scheme are held in a separate trustee administered fund. The scheme is funded by contributions from the employer. Contributions are determined by the rules of the scheme. The cost of providing retirement benefits is assessed using the attained age method by qualified actuaries. The scheme is valued annually.

The retirement benefit obligation recognised in the statement of financial position represents the present value of the defined benefit obligation as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the Scheme.

Effective 30 September 2010, the Scheme was closed to new entrants.

Statutory defined contributions scheme

The Group also contributes to the statutory defined contribution pension scheme, the National Social Security Fund (NSSF). The Company's obligations to retirement benefits schemes are charged to the profit or loss as they fall due.

Other Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the end of the reporting period. These are short term in nature and are settled within 12 months.

Non pensionable employees are entitled to a gratuity. The gratuity is recognised when the benefits accrue to the employees. Gratuity payments are specified lump sum payments paid to employees when the contract comes to an end. The final pay-out is based on the contracted period of service. The expense accruals are recognised in profit or loss and the liability recognised in the statement of financial position

(w) Dividends

Dividends payable to shareholders are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

2. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS IN APPLYING THE GROUP'S AND COMPANY'S ACCOUNTING POLICIES AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the accounting policies adopted by the Group, the directors make certain judgements and estimates that may affect the carrying values of assets and liabilities in the next financial period. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. The directors evaluate these at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available.

The preparation of the Group's financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

The judgements made by the directors in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

2. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS IN APPLYING THE GROUP'S AND COMPANY'S ACCOUNTING POLICIES AND KEY SOURCES OF ESTIMATION UNCERTAINTY (continued)

Operating lease commitments - Group as lessor

The Group has entered into commercial property leases on its investment property portfolio. The Group has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a substantial portion of the economic life of the commercial property, that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases.

Held -to-maturity financial assets

The Group follows the guidance of IAS 39 in classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgment. If the Group were to sell other than an insignificant amount of such investments before maturity, it would be required to classify the entire class as 'available-for-sale' and measure them at fair value. In making this judgment, the Group evaluates its intention and ability to hold such assets to maturity. If the Group fails to keep these financial assets to maturity other than for the specific circumstances - for example, selling an insignificant amount close to maturity - it will be required to reclassify the entire class as available-for-sale.

Assessment of significant influence over an associate

The Group considers that it has significant influence over Zep -Re Limited though it owns less than the 20% of the voting power of the company. This is because the Group is the single largest shareholder of Zep-Re Limited with a 19.13% (2017: 18.97%) interest of the equity interest. The remaining 80.87% (2017: 80.77%) of the equity shares in Zep-Re Limited are widely held by many other shareholders, none of which individually hold more than 14 % of the equity shares (as recorded in the company's shareholders' register from 31 December 2014 to 31 December 2018). The group also has representation in the associate's Board.

Deferred tax assets

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax planning strategies.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

Valuation of insurance contract liabilities

Critical assumptions are made by the actuary in determining the present value of actuarial liabilities. The liability for life insurance contracts is either based on current assumptions or on assumptions established at inception of the contract, reflecting the best estimate at the time increased with a margin for risk and adverse deviation. All contracts are subject to a liability adequacy test, which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapse and surrender rates and discount rates. The Group base mortality and morbidity on standard industry and Kenya's mortality tables which reflect historical experiences, adjusted when appropriate to reflect the Group's unique risk exposure, product characteristics, target markets and own claims severity and frequency experiences. For those contracts that insure risk to longevity, prudent allowance is made for expected future mortality improvements, but epidemics, as well as wide ranging changes to life style, could result in significant changes to the expected future mortality exposure.

2. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS IN APPLYING THE GROUP'S AND COMPANY'S ACCOUNTING POLICIES AND KEY SOURCES OF ESTIMATION UNCERTAINTY (continued)

Valuation of insurance contract liabilities (continued)

Estimates are also made as to future investment income arising from the assets backing life insurance contracts. These estimates are based on current market returns as well as expectations about future economic and financial developments.

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation adjustments if appropriate.

Lapse and surrender rates are based on the Group's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates, adjusted for the Group's own risk exposure. Further details are disclosed in note 34 and 35.

Property and equipment
Critical estimates are made by the Group's management, in determining depreciation rates for property and equipment. The rates used are set out in accounting policy in note (i) above.

Receivables
Critical estimates are made by the directors in determining the recoverable amount of receivables. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Equity investment impairment
In assessing whether equity investments classified as available-for-sale has had a 'significant or prolonged' decline in the fair value of the investment below its cost, the Group would benchmark the performance of the investment against its peers, review three years strategic plan and perform in-depth analysis on key identified ratios. Further details are disclosed in note 22.

Impairment losses
At each reporting date, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Impairment exists when the carrying amount of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use.

The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for coming years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested.

In assessing whether there is any indication that the tangible and intangible assets may be impaired, the Group considers the following indications:

(a) there are observable indications that the asset's value has declined during the period significantly more than would be expected as a result of the passage of time or normal use.

(b) significant changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, market, economic or legal environment in which the entity operates or in the market to which an asset is dedicated.

(c) market interest rates or other market rates of return on investments have increased during the period, and those increases are likely to affect the discount rate used in calculating an asset's value in use and decrease the asset's recoverable amount materially.

2. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS IN APPLYING THE GROUP'S AND COMPANY'S ACCOUNTING POLICIES AND KEY SOURCES OF ESTIMATION UNCERTAINTY (continued)

Impairment losses (continued)

(d) the carrying amount of the net assets of the entity is more than its market capitalisation.

(e) evidence is available of obsolescence or physical damage of an asset.

(f) significant changes with an adverse effect on the entity have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, plans to dispose of an asset before the previously expected date, and reassessing the useful life of an asset as finite rather than indefinite.

Revaluation of investment properties

The Group carries all its investment properties at fair value, with changes in fair value of investment properties being recognised in the statement of profit or loss. Investment properties were last revalued as at 31 December 2018 on the basis of open market value by independent valuer, Caroline N. Nyororo - P/No. 0002566 of Ebony Estates Limited. Further details are disclosed in note 18.

Contingent liabilities

The Group is exposed to various contingent liabilities in the normal course of business including a number of legal cases. The Directors evaluate the status of these exposures on a regular basis to assess the probability of the Group incurring related liabilities. However, provisions are only made in the financial statements where, based on the Directors' evaluation, a present obligation has been established. Judgement and assumptions are required in:

- assessing the existence of a present obligation (legal or constructive) as a result of a past event,
- assessing the probability that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- Estimating the amount of the obligation to be paid out.

Further details are disclosed in note 44.

Defined benefit plans (pension benefits)

The cost of the defined benefit pension plan and the present value of the pension obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Further details are disclosed in note 21.

Tax

Critical judgements are made by the directors in determining future tax obligations that would arise as a result of the entity entering into certain transactions that would normally attract tax. In particular, management's judgement is required in the estimation of the amount of capital gain tax that would be payable by the entity should it dispose any of its investment properties. These estimates are based on assumptions about a number of factors, which include the likelihood of sale of any of its investment properties, the circumstances that would most likely trigger a sale of its investment properties and the likelihood of the entity being granted an exemption by the revenue authority within the confines of the law due to those factors.

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's activities expose it to a variety of financial risks, including insurance risk, liquidity risk, credit risk, and the effects of changes in property and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management program focuses on the identification and management of risks and seeks to minimise potential adverse effects on its financial performance, by use of underwriting guidelines and capacity limits, reinsurance planning, credit policy governing the acceptance of clients, and defined criteria for the approval of intermediaries and reinsurers. Investment policies are in place, which help manage liquidity, and seek to maximise return within an acceptable level of interest rate risk.

The disclosures below summarises the way the Group manages key risks:

Reinsurance risk

The Group reinsures all classes of insurance business including accident, engineering, medical liability, motor, fire, aviation and life. The bulk of the business written is of a short-term nature.

The risk under any one insurance contract arises from the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

Frequency and severity of claims

A key risk, related to pricing and provisioning, that the Group faces under its reinsurance contracts is that the actual claims and benefit payments exceed the carrying amount of the reinsurance liabilities. This could occur because the frequency or severity of claims and benefits are greater than estimated. Insurance events are random and the actual number and amount of claims and benefits will vary from year to year from the level established based on past experience.

The Group has developed its reinsurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome. The Group also manages these risks through its underwriting strategy and adequate retrocession arrangements and proactive claims handling.

Underwriting limits are in place to enforce appropriate risk selection criteria. The Group re-insures to specialist reinsurance companies a proportion of its portfolio or certain types of insurance risk. This serves primarily to:

- reduce the net liability on large individual risks
- obtain greater diversification of insurance risks
- provide protection against large losses

The retrocession arrangements include proportional and non-proportional treaties. The expected effect of such retrocession arrangements is that the Company should not suffer total net insurance losses of more than set limits per class of business.

Claims are managed through a dedicated claims management team, with formal claims acceptance limits and appropriate training and development of staff to ensure payment of all genuine claims. Claims experience is assessed regularly and appropriate actuarial reserves are established to reflect up-to-date experience and any anticipated future events. This includes reserves for claims incurred but not yet reported

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Sources of uncertainty in the estimation of future claim payments

The estimated cost of claims includes direct expenses to be incurred in settling claims, net of the expected subrogation value and other recoveries. The Group takes all reasonable steps to ensure that it has appropriate information regarding its claims exposures. However, given the uncertainty in establishing claims provisions, it is likely that the final outcome will prove to be different from the original liability established.

The liability for these contracts comprise a provision for incurred but not reported (IBNR) claims, a provision for reported claims not yet paid and a provision for unexpired risks at the end of the reporting period.

In estimating the liability for the cost of reported claims not yet paid, the Group considers any information available from loss adjusters and information on the cost of settling claims with similar characteristics in previous periods. The main assumption underlying this technique is that the Group's past claims development experience be used to project future claims development and hence ultimate claims costs.

Additional qualitative judgment is used to assess the extent to which past trends may not apply in future, in order to arrive at the estimated ultimate cost of claims that present the likely outcome from the range of possible outcomes, taking account of all the uncertainties involved.

Concentration of insurance risk

The Group's concentration of reinsurance risk is determined by class of business. The shared characteristic that identifies each concentration is the insured event and the key indicator is the net earned premium as disclosed in note 6. There were no significant shifts in the portfolio concentration.

Sensitivity to insurance risk

The actuarial methods used are not very sensitive to changes in the key assumptions used in determining the actuarial liabilities. The key actuarial assumptions will need to change very significantly for the actuarial liabilities to change by a relatively small percentage. The methods used and significant assumptions made did not change from the previous period.

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

An analysis of the Group's financial assets and its reinsurance liabilities is presented below;

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Financial assets				
Held to maturity:				
- Government securities	13,226,931	13,521,865	13,226,931	13,521,865
- Corporate bonds	475,912	482,696	475,912	482,696
Available for sale				
- Government securities	1,087,821	1,040,975	1,087,821	1,040,975
- Quoted equities	1,599,431	2,107,855	1,599,431	2,107,855
- Unquoted equities	202,231	202,231	202,231	202,231
Loans and receivables				
Receivables arising out of reinsurance arrangements	3,673,176	4,315,378	3,296,200	3,988,095
Cash and bank balances	338,035	227,204	161,216	153,247
Due from related parties	-	-	93,820	63,438
Deposits with financial institutions	5,459,225	3,408,386	5,212,505	3,092,508
Premium and loss reserves	271,655	306,956	170,731	184,420
Mortgage loans	725,862	658,425	716,550	658,423
Other receivables	198,151	235,082	192,948	215,653
Total financial assets and receivables arising from reinsurance arrangements	27,258,430	26,507,053	26,436,296	25,711,406
Financial liabilities at amortised cost				
Payables arising out of reinsurance arrangements	549,466	670,487	440,611	480,676
Other payables	553,262	630,414	530,256	599,352
Total financial liabilities and payables arising from reinsurance arrangements	1,102,728	1,300,901	970,867	1,080,028
Insurance contract liabilities				
Long term liabilities	2,629,125	2,392,423	2,629,125	2,392,423
Short term liabilities	6,002,946	5,737,138	5,553,840	5,319,405
Total insurance contract liabilities	8,632,071	8,129,561	8,182,965	7,711,828

Reinsurance liabilities are not directly sensitive to the level of market interest rates, as they are undiscounted and contractually non-interest bearing.

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

The tables below indicates the contractual timing of cash flows arising from assets and liabilities

GROUP

31 December 2018	Carrying Amount	No stated maturity	Contractual cash flows (undiscounted)		
			0-1 years	1-5 years	>5 years
Financial assets	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Held to maturity:					
- Government securities	13,226,931	-	610,000	7,535,800	10,733,650
- Corporate bonds	475,912	-	255,925	305,512	-
Available for sale					
-Quoted equities	1,599,431	1,599,431	-	-	-
-Government securities	1,087,821	-	-	520,000	802,500
-Unquoted equities	202,231	202,231	-	-	-
Loans and receivables					
Receivables arising out of reinsurance arrangements	3,673,176	3,673,176	-	-	-
Other receivables	198,151	198,151	-	-	-
Premium loss reserves	271,655	271,655	-	-	-
Mortgage loans	725,862	-	35,890	99,520	611,355
Cash and cash equivalents	5,797,260	-	5,797,260	-	-
Total	27,258,430	5,944,644	6,699,075	8,460,832	12,147,505
Financial liabilities at amortised cost					
Payables arising out of reinsurance arrangements	549,466	549,466	-	-	-
Other payables	553,262	553,262	-	-	-
Total financial liabilities	1,102,728	1,102,728	-	-	-
Reinsurance liabilities					
Long term liabilities	2,629,125	2,629,125	-	-	-
Short term liabilities	6,002,946	6,002,946	-	-	-
Total	9,734,799	9,734,799			
Net gap	17,523,631	(3,790,155)	6,699,075	8,460,832	12,147,505

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

The tables below indicates the contractual timing of cash flows arising from assets and liabilities (continued)

COMPANY

31-December 2018	Carrying amount	No stated maturity	Contractual cash flows (undiscounted) 0-1 years	1-5 years	>5 years
Held to maturity:					
- Government securities	13,226,931	-	610,000	7,535,800	10,733,650
- Corporate bonds	475,912	-	255,925	305,512	-
Available for sale					
-Quoted equities	1,599,431	1,599,431	-	-	-
-Government securities	1,087,821	-	-	520,000	802,500
-Unquoted equities	202,231	202,231	-	-	-
Loans and receivables					
Receivables arising out of reinsurance arrangements	3,296,200	3,296,200	-	-	-
Due from related parties	93,820	93,820	-	-	-
Other receivables	192,948	192,948	-	-	-
Premium loss reserves	170,731	170,731	-	-	-
Mortgage loans	716,550	-	34,890	99,300	611,355
Cash and cash equivalents	5,373,721	-	5,373,721	-	-
Total	26,436,296	5,555,361	6,274,536	8,460,612	12,147,505
Financial liabilities at amortised cost					
Payables arising out of reinsurance arrangements	440,611	440,611	-	-	-
Other payables	530,256	530,256	-	-	-
Total financial liabilities	970,867	970,867	-	-	-
Reinsurance liabilities					
Long term liabilities	2,629,125	2,629,125	-	-	-
Short term liabilities	5,553,840	5,553,840	-	-	-
Total	9,153,832	9,153,832	-	-	-
Net gap	17,282,464	(3,598,471)	6,274,536	8,460,612	12,147,505

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

The tables below indicates the contractual timing of cash flows arising from assets and liabilities (continued)

GROUP

31 December 2017	Carrying Amount	No stated maturity	Contractual cash flows (undiscounted)		
			0-1 years	1-5 years	>5 years
Financial assets	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Held to maturity:					
- Government securities	13,521,865	-	49,547	4,922,054	15,880,141
- Corporate bonds	482,696	-	-	482,696	-
Available for sale					
-Quoted equities	2,107,855	2,107,855	-	-	-
-Government securities	1,040,975	-	-	-	1,974,784
-Unquoted equities	202,231	202,231	-	-	-
Loans and receivables					
Receivables arising out of reinsurance arrangements	4,315,378	4,315,378	-	-	-
Other receivables	235,082	235,082	-	-	-
Premium loss reserves	306,956	306,956	-	-	-
Mortgage loans	658,425	-	39,435	33,461	585,529
Cash and cash equivalents	3,635,590	-	3,635,590	-	-
Total	26,507,053	7,167,502	3,724,572	5,438,211	18,440,454
Financial liabilities at amortised cost					
Payables arising out of reinsurance arrangements	670,488	670,488	-	-	-
Other payables	630,414	630,414	-	-	-
Total financial liabilities	1,300,902	1,300,902	-	-	-
Reinsurance liabilities					
Long term liabilities	2,392,423	2,392,423	-	-	-
Short term liabilities	5,737,138	5,737,138	-	-	-
Total	8,129,561	8,129,561	-	-	-
Net gap	17,076,590	(2,262,961)	3,724,572	5,438,211	18,440,454

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

The tables below indicates the contractual timing of cash flows arising from assets and liabilities (continued)

COMPANY

31-December 2017	Carrying amount	No stated maturity	Contractual cash flows (undiscounted) 0-1 years	1-5 years	>5 years
Held to maturity:					
- Government securities	13,521,865	-	49,547	4,922,054	15,880,141
- Corporate bonds	482,696	-	-	482,696	-
Available for sale					
-Quoted equities	2,107,855	2,107,855	-	-	-
-Government securities	1,040,975	-	-	-	1,974,784
-Unquoted equities	202,231	202,231	-	-	-
Loans and receivables					
Receivables arising out of reinsurance arrangements	3,988,095	3,988,095	-	-	-
Due from related parties	63,438	63,438	-	-	-
Other receivables	215,653	215,653	-	-	-
Premium loss reserves	184,420	184,420	-	-	-
Mortgage loans	658,423	-	39,435	33,461	585,527
Cash and cash equivalents	3,245,755	-	3,245,755	-	-
Total	25,711,406	6,761,692	3,334,737	5,438,211	18,440,452
Financial liabilities at amortised cost					
Payables arising out of reinsurance arrangements	480,676	480,676	-	-	-
Other payables	599,352	599,352	-	-	-
Total financial liabilities	1,080,028	1,080,028	-	-	-
Reinsurance liabilities					
Long term liabilities	2,392,423	2,392,423	-	-	-
Short term liabilities	5,319,405	5,319,405	-	-	-
Total	7,711,828	7,711,828	-	-	-
Net gap	16,919,550	(2,030,164)	3,334,737	5,438,211	18,440,452

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Financial risk

The Group is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that the proceeds from its financial assets are not sufficient to fund the obligations arising from insurance liabilities as they fall due. The most important components of this financial risk are market risk (including interest rate risk, equity price risk and currency risk), credit risk and liquidity risk.

The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Group's financial performance. The risk management policies established identify and analyse the risks faced by the Group, set appropriate risk limits and controls, and monitor risks and adherence to limits. These risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

(a) Liquidity risk

Liquidity risk is current or prospective risk to earnings and capital arising from the Group's failure to meet its maturing obligations when they fall due without incurring unacceptable losses. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

To this end, there is a Board approved policy to effectively manage liquidity at all times to meet claims payable, unexpected outflow/non-receipt of expected inflow of funds as well as ensure adequate diversification of funding sources. The Finance, Investment and Tender Oversight Committee undertakes liquidity management and scenario analysis as per the policy.

Funds are raised mainly from reinsurance premiums and investment income and share capital. This enhances funding flexibility, limits dependence on any one source of funds and generally lowers the cost of funds. The Group continually assesses liquidity risk by identifying and monitoring changes in funding required to meet business goals and targets set in terms of the overall Group strategy.

In addition, the Corporation holds a portfolio of liquid assets as part of its liquidity risk management strategy.

The analysis of the liquidity position of the Group's financial liabilities is as disclosed in the table above.

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(b) Market risk

Management of market risk
Market risk is the risk that changes in market prices, interest rates and foreign exchange rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk. Overall authority for market risk is vested in the board of directors. The board of directors is responsible for the development of detailed risk management policies and for the day-to-day review of their implementation.

Interest rate risk
Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

Interest rate risk is managed principally through monitoring interest rate gaps. The board of directors is the monitoring body for compliance with these limits and is assisted by risk management in its day-to-day monitoring activities.

The interest earning financial assets that the Group holds include investments in government securities, mortgage loans and deposits with financial institutions. Re-insurance receivables are not interest bearing. Liabilities under short term insurance contracts are not interest bearing.

The interest rate risk of the above future cash flows is considered to be low primarily because they are at fixed interest rates. A change of 1% in interest rates would have immaterial effects on the future cash flows.

Currency rate risk
The Group writes business from a number of countries and as a consequence receives premiums in several currencies. The Group's obligations to, and receivables from the cedants are therefore in these original currencies. The Group is therefore exposed to the exchange rate risk where there is a mismatch between assets and liabilities per currency.

The Group's main operations are concentrated in Kenya and its assets and liabilities are reported in the local currency. It has transactions in foreign currency which are mainly denominated in US Dollars.

Foreign exchange risk also arises from commercial transactions, recognized assets and liabilities in foreign currencies such as deposits with financial institutions.

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs'000	KShs'000	KShs'000	KShs'000
Assets in foreign currencies				
Trade and other receivables	3,831,077	4,082,918	3,537,650	3,613,958
Premiums and loss reserves	1,068,567	999,250	912,419	896,963
Deposits with financial institutions	1,163,374	1,419,298	1,108,251	1,103,420
Cash and bank	266,794	43,210	45,240	492
Foreign currency assets	6,329,812	6,544,676	5,512,632	5,614,833
Liabilities in foreign currencies				
Payables	(336,903)	(516,213)	(228,048)	(326,402)
Net foreign currency (liability)/ asset position	5,992,909	6,028,463	5,284,584	5,288,431

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(b) Market risk (continued)

Current rate risk (continued)

The following table demonstrates the sensitivity to a reasonably possible change in USD, with all other variables held constant, of the Group's and the Company's profit before tax and equity (due to changes in the fair value of monetary assets and liabilities).

		GROUP		COMPANY	
USD		Effect on profit before tax KShs'000	Effect on equity KShs'000	Effect on profit before tax KShs'000	Effect on equity KShs'000
2018	Increase in US$ by 10%	601,532	421,072	501,492	351,045
	Decrease in US$ by 10%	(601,532)	(421,072)	(501,492)	(351,045)
2017	Increase in US$ by 10%	602,846	421,992	528,843	370,190
	Decrease in US$ by 10%	(602,846)	(421,072)	(528,843)	(370,190)

Price risk

The Group is exposed to equity securities price risk as a result of its holdings in equity investments which are listed and traded on the Nairobi Securities Exchange and which are classified as available for sale financial assets. Exposure to equity price risks in aggregate is monitored in order to ensure compliance with the relevant regulatory limits for solvency purposes.

The Group has a defined investment policy which sets limits on the Group's exposure to equities both in aggregate terms and by category/share. This policy of diversification is used to manage the Group's price risk arising from its investments in equity securities. The Group's unlisted equities are also subject to price risk however, the Group has carried them at cost less any impairment cost. Refer to note 22.

As at the reporting date, the exposure to listed equity securities at fair value was KShs 1,599 million (2017: KShs 2,108). An increase/decrease of 15 % in the value of the listed equity would result in a decrease / increase in profits of KShs 240 million (2017:316 KShs million) and an increase/decrease in equity by KShs 168 million (2017: KShs 221 million).

(c) Credit risk

The Group has exposure to credit risk, which is the risk that a counterparty will be unable to pay amounts in full when due. The Group manages, limits and controls concentration of credit risks periodically against internal and regulatory requirements with respect to individual counterparties or related company of counterparties, industry sectors, business lines, product types, amongst others.

Key areas where the Group is exposed to credit risk are:

- amounts due from reinsurers in respect of claims already paid;
- amounts due from cedants;
- amounts due from re-insurance intermediaries;
- mortgage advances to its customers and staff;
- government and corporate bonds;
- deposits with financial institutions;
- cash and bank balances.

The Group structures the levels of credit risk it accepts by placing credit limits on its exposure to a single counterparty or company of counterparty, and to geographical and industry segments. Such risks are subject to an annual or more frequent review. Limits on the level of credit risk by category and territory are approved quarterly by the board of directors.

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(c) Credit risk (continued)

The creditworthiness of cedants is considered on an annual basis by reviewing their financial strength prior to finalisation of any contract. The Group maintain records of the payment history for significant contract holders with whom they conduct regular business. The exposure to individual counterparties is also managed by other mechanisms, such as the right of offset where counterparties are both debtors and creditors of the Group. Management information reported to the board of directors includes details of provisions for impairment on amounts due from cedants and subsequent write-offs.

Investments in government securities are deemed adequately secured by the Government of Kenya with no inherent default risk. The credit risk on the corporate bonds, deposits and balances with financial institutions is considered to be low because the counterparties are companies and banks with high credit ratings. The credit risk on mortgages is managed by ensuring that the mortgage issued is secured by the related property and that the mortgage amount given is below the value of the related property.

The following table details the maximum exposure before consideration of any collateral:

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Government securities	14,314,752	14,562,840	14,314,752	14,562,840
Corporate bonds	475,912	482,696	475,912	482,696
Loans and receivables at amortized cost:				
Deposits with financial institutions	5,459,225	3,408,386	5,212,505	3,092,508
Mortgage loans	725,862	658,425	716,550	658,423
Receivables arising out of reinsurance arrangements	3,673,176	4,315,378	3,296,200	3,988,095
Premium and loss reserves (note 25)	271,655	306,956	170,731	184,420
Bank balances	338,035	227,054	161,216	153,543
Other receivables	198,151	248,628	192,948	228,918
Total assets bearing credit risk	25,456,768	24,210,363	24,540,814	23,350,997
Receivables arising out of reinsurance arrangements are summarized as follows:				
Neither past due nor impaired	711,762	813,442	655,908	698,901
Past due but not impaired:				
-up to 91 to 365 days	2,597,586	2,635,076	2,289,764	2,531,818
-up to 1 to 2 years	363,828	866,860	350,528	757,376
-Impaired	2,004,593	1,475,095	1,705,142	1,257,110
	5,677,769	5,790,473	5,001,342	5,245,205
Less: provision for impairment (note 24)	(2,004,593)	(1,475,095)	(1,705,142)	(1,257,110)
Total	3,673,176	4,315,378	3,296,200	3,988,095

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)o

(c) Credit risk (continued)

Mortgage loans are summarized as follows:

	GROUP 2018 KShs '000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
Neither past due nor impaired	721,687	645,116	712,478	645,114
Past due but not impaired:				
-0 to 60 days	648	2,630	545	2,630
-61 to 120 days	1,160	6,986	1,160	6,986
-121 to 180 days	2,367	3,693	2,367	3,693
Impaired	146,404	135,917	146,404	135,917
	872,266	794,342	862,954	794,340
Less: provision for impairment (note 17)	(146,404)	(135,917)	(146,404)	(135,917)
Total	725,862	658,425	716,550	658,423

The accounts under the fully performing category are paying their debts as they continue trading. The default rate is low. Credit control department actively monitors overdue account balances. In addition, the Group settles claims on a net basis i.e. net of any re-insurance receivables due from cedants. An impairment analysis is performed at each reporting date on an individual basis. The debt that is impaired has been fully provided for. The maximum exposure to credit risk at the reporting date is the carrying amount. Refer to note 17 and 25 for impairment analysis of mortgage loans and premiums and loss reserves respectively.

Fair value of financial assets and liabilities

(i) Financial instruments not measured at fair value

The following fair value disclosures have been made in respect of quoted Government securities and quoted corporate bonds which have been carried at amortised cost. The carrying amounts of the remaining financial instruments i.e. cash and bank and receivables, approximate their fair values hence no fair value disclosures have been made.

GROUP	Level 1 KShs '000	Level 2 KShs '000	Level 3 KShs '000	Total KShs '000
At 31 December 2018:				
Government securities	12,456,287	-	-	12,456,287
Corporate bonds	462,867	-	-	462,867
At 31 December 2017:				
Government securities	9,965,446	-	-	9,965,446
Corporate bonds	474,638	-	-	474,638
COMPANY				
At 31 December 2018:				
Government securities	12,456,287	-	-	12,456,287
Corporate bonds	462,867	-	-	462,867
At 31 December 2017:				
Government securities	9,965,446	-	-	9,965,446
Corporate bonds	474,638	-	-	474,638

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(ii) Fair value hierarchy (continued)

IFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the Group's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges.
- Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).
- Level 3 - inputs for the asset or liability that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components. This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

The following table shows an analysis of financial and non- financial assets and liabilities recorded at fair value by level of the fair value hierarchy. However, the unquoted equity instruments have been stated at cost less any impairment loss for the year.

GROUP	Level 1 KShs '000	Level 2 KShs '000	Level 3 KShs '000	Total KShs '000
At 31 December 2018				
Government securities	1,087,821	-	-	1,087,821
Quoted equity instruments	1,599,431	-	-	1,599,431
Investment properties	-	-	10,105,000	10,105,000
At 31 December 2017				
Government securities	1,040,975	-	-	1,040,975
Quoted equity instruments	2,107,855	-	-	2,107,855
Investment properties	-	-	9,622,000	9,622,000
COMPANY				
At 31 December 2018				
Government securities	1,087,821	-	-	1,087,821
Quoted equity instruments	1,599,431	-	-	1,599,431
Investment properties	-	-	10,105,000	10,105,000
At 31 December 2017				
Government securities	1,040,975	-	-	1,040,975
Quoted equity instruments	2,107,855	-	-	2,107,855
Investment properties	-	-	9,622,000	9,622,000

The management assessed that the fair values of cash and short-term deposits, re-insurance receivables, other receivables, re-insurance payables, mortgage debtors, treasury bills and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

3. FINANCIAL AND INSURANCE RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

(ii) Fair value hierarchy (continued)

Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurements categorised within Level 3 of the fair value hierarchy, together with a quantitative sensitivity analysis as at 31 December 2018 and 2017 are as shown below:

	Valuation technique	Significant unobservable inputs	Range (weighted average)
Investment properties	Sales comparison approach	Price per acre in a similar location	KShs 500 million - KShs 800 million
	Income capitalization approach	Rental income per square meter	KShs 750-KShs 1,000 per square metre
		Estimated costs associated with maintaining the building	-
	Cost approach	Depreciated replacement cost of a similar building	-

- The valuation of investment properties was carried out by Caroline N. Nyororo - P/No. 0002566 of Ebony Estates Limited, professional independent valuers as at 31 December 2018.

4. CAPITAL MANAGEMENT

Capital includes ordinary shares and equity attributable to the shareholders of the Group. Externally imposed capital requirements are set and regulated by the Insurance Regulatory Authority (IRA). These requirements are put in place to ensure solvency margins are maintained in the insurance industry. Further objectives are set by the Group to maintain a strong credit rating and healthy capital ratios in order to support its business objectives and maximise shareholders value.

Further, the Group currently has a paid up capital of KShs 1.75 billion for the combined composite business, which meets the minimal requirement of KShs 800 million as per the Insurance Act.

As at 31 December 2018, the Group had complied with the externally imposed capital requirements. The Kenya Reinsurance Corporation Cote d'ivoire Subsidiary is required by CIMA regulation article 810 on share capital to have a registered capital of at least ten billion (10,000,000,000) FCFA equivalent to KShs 1,768,127,729 by 15 November 2020.

The Group's objectives in managing its capital are:

- to match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- to maintain financial strength to support new business growth;
- to satisfy the requirements of its reinsured and rating agencies;
- to retain financial flexibility by maintaining strong liquidity and access to a range of capital markets;
- to allocate capital efficiently to support growth;
- to safeguard the company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to provide an adequate return to shareholders by pricing insurance contracts commensurately with the level of risk.

The Group has a number of sources of capital available to it and seeks to optimize its retention capacity in order to ensure that it can consistently maximize returns to shareholders. The Group considers not only the traditional sources of capital funding but the alternative sources of capital including retrocession, as appropriate, when assessing its deployment and usage of capital. The Group manages as capital all items that are eligible to be treated as capital. The Group has no borrowings.

During the year the Group held the minimum paid up capital required and also met the required solvency margins.

5. SEGMENTAL REPORTING

IFRS 8 *Operating Segments* requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chief Operating Decision Maker (CODM) in order to allocate resources to the segments and to assess performance.

Thus, under IFRS 8 the Group's reportable segments are long term business and short-term business. The short-term business segment comprises of motor, marine, aviation, fire, and accident. The long-term business segment includes individual and group life. These segments are the basis on which the CODM allocates resources and assesses performance. Investment and cash management for the Group's own accounts are also reported as part of the above segments. Transactions between segments are conducted at estimated market rates on an arm's length basis. Interest and investment income is credited to business segments based on segmental capital employed. The Group's main geographical segment of business is in Kenya.

The management monitors the operating results of its business segments separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on profit or loss and is measured consistently with profit or loss in the consolidated financial statements.

5. SEGMENTAL REPORTING (continued)

The various products and services that the reporting segments derive their revenues from have been described as follows.

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs'000	KShs'000	KShs'000	KShs'000
Gross earned premiums				
General insurance business	12,933,106	13,196,958	12,146,618	12,365,408
Life business	1,905,287	1,630,338	1,900,423	1,626,735
	14,838,393	14,827,296	14,047,041	13,992,143
Investment income:				
General insurance business				
Rental income from investment properties	828,994	687,963	828,994	687,963
Interest on Government securities held to maturity	1,498,428	1,237,396	1,498,428	1,237,396
Gain on sale of available-for-sale quoted equity instruments	201,532	258,669	201,532	258,669
Dividends receivable on available for sale quoted equity instruments	124,772	92,702	124,772	92,702
Interest on commercial mortgages	51,116	54,896	51,116	54,896
Interest on deposits with financial institutions- held to maturity	195,269	252,272	174,732	236,818
Interest on corporate bonds- held to maturity	57,145	49,821	57,145	49,821
Profit on sale of non-current asset held for sale	-	10,402	-	10,402
Interest on staff mortgages and loans	18,745	16,411	18,348	16,200
	2,976,001	2,660,532	2,955,067	2,644,867
Life assurance business				
Rental income from investment properties	46,414	143,705	46,414	143,705
Interest on Government securities held to maturity	263,917	258,473	263,917	258,473
Dividends receivable on available-for-sale quoted equity instruments	44,466	19,364	44,466	19,364
Interest on deposits with financial institutions- held to maturity	55,379	52,696	55,379	49,468
Interest on corporate bonds- held to maturity	-	10,407	-	10,407
	410,176	484,645	410,176	481,417
Total investment income	3,386,177	3,145,177	3,365,243	3,126,284

5. SEGMENTAL REPORTING (continued)

Other disclosures:

GROUP	General Insurance business KShs'000	Life Assurance Business KShs'000	Total 2018 KShs'000	Total 2017 KShs'000
Reportable segment profits before tax	2,428,958	672,892	3,101,850	4,558,551
Income tax expense	(591,122)	(232,446)	(823,568)	(981,211)
Reportable segment profits after tax	1,837,836	440,446	2,278,282	3,577,340
Reportable segment total assets	34,911,451	9,451,183	44,362,634	42,732,667
Less:				
: Related party balances	-	-	-	-
Net	34,911,451	9,451,183	44,362,634	42,732,667
Reportable segment total liabilities	11,410,799	4,578,802	15,989,601	15,527,583
Less:				
: Related party balances	-	-	-	-
Net	11,410,799	4,578,802	15,989,601	15,527,583
Fees and commission income	35,974	5,255	41,229	98,416
Depreciation of property and equipment	30,197	4,455	34,652	39,505
Amortisation of intangible assets	124,236	18,179	142,415	45,356
Property and equipment additions	49,724	-	49,724	30,040
Intangible assets additions	194,395	-	194,395	252,620
Share of associates profit	180,865	-	180,865	504,069

COMPANY	General Insurance Business KShs'000	Life Assurance Business KShs'000	Total 2018 KShs'000	Total 2017 KShs'000
Reportable segment profits before tax	2,365,245	668,028	3,033,273	4,748,502
Income tax expense	(591,122)	(232,446)	(823,568)	(981,211)
Reportable segment profits after tax	1,774,123	435,582	2,209,705	3,767,291
Reportable segment total assets	34,180,609	9,372,605	43,553,214	41,983,926
Less:				
: Related party balances	(93,820)	-	(93,820)	(63,438)
: Investment in subsidiaries	(187,782)	-	(187,782)	(187,782)
Reportable segment total assets-Net	33,899,007	9,372,605	43,271,612	41,732,706

5. SEGMENTAL REPORTING (continued)

Other disclosures (continued):

COMPANY (continued)	General Insurance Business KShs'000	Life Assurance Business KShs'000	Total 2018 KShs'000	Total 2017 KShs'000
Reportable segment total liabilities	10,528,132	4,559,208	15,087,340	14,617,424
Less:				
: Related party balances	(43,092)	-	(43,092)	(61,380)
Net	10,485,040	4,559,208	15,044,248	14,556,044
Fees and commission income	29,156	5,265	34,421	98,416
Depreciation of property and equipment	22,022	4,339	26,361	33,742
Amortisation of intangible assets	123,119	19,296	142,415	45,356
Property and equipment additions	37,940	-	37,940	10,916
Intangible assets additions	194,395	-	194,395	252,620
Share of associates profit	180,865	-	180,865	504,069

6. PREMIUMS INCOME

The Group is organised into two main divisions, General reinsurance and Long term business. Long term business relates to the underwriting of risks relating to death of an insured person. General insurance business relates to all other categories of short term insurance business written by the Group, analysed into several sub-classes of business based on the nature of the assumed risks.

The premium income of the Group can be analysed between the main classes of business as shown below:

	GROUP		COMPANY	
	2018 KShs'000	2017 KShs'000	2018 KShs'000	2017 KShs'000
Super annuation	1,751,438	1,361,922	1,736,061	1,374,906
Ordinary life	48,703	133,038	48,703	116,451
Engineering	884,343	830,770	788,505	766,910
Fire	3,783,844	3,719,112	3,307,521	3,319,925
Marine	582,582	638,270	525,540	574,749
Medical	2,986,865	3,367,973	2,986,284	3,367,973
Personal accident	271,201	590,957	259,480	531,185
Motor	754,979	680,158	695,554	631,296
Miscellaneous (incl. Theft)	3,142,021	2,357,376	3,104,096	2,278,003
TOTAL	14,205,976	13,679,576	13,451,744	12,961,398

7. INVESTMENT INCOME

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs'000	KShs'000	KShs'000	KShs'000
Rental income from investment properties	875,408	831,668	875,408	831,668
Interest on Government securities held to maturity	1,632,802	1,366,326	1,632,802	1,366,326
Interest income on available for sale Government securities	129,543	129,543	129,543	129,543
Gain on sale of available for sale quoted equity instruments	201,532	258,669	201,532	258,669
Dividends receivable on available- for sale quoted equity instruments	169,238	112,069	169,238	112,069
Interest on commercial mortgages	51,116	54,896	51,116	54,896
Interest on deposits with financial institutions-held to maturity	250,441	325,102	230,110	306,421
Interest on corporate bonds - held to maturity	57,145	60,228	57,145	60,228
Profit on sale of non-current assets held for sale	-	10,402	-	10,402
Interest on staff mortgages and loans	18,952	16,411	18,348	16,200
Total investment income	3,386,177	3,165,314	3,365,242	3,146,422

8. OTHER INCOME

COMESA Yellow Card income	50,464	51,817	50,464	51,816
Gain on disposal of property and equipment	-	687	-	687
Miscellaneous income*	4,412	17,778	4,412	8,635
	54,876	70,282	54,876	61,138

9. CLAIMS INCURRED

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Claims paid	8,953,707	7,689,076	8,665,117	7,252,568
Changes in the provision for outstanding claims incurred but not reported (IBNR)	265,808	206,588	265,808	92,890
Increase/ (decrease) in actuarial liability on long term insurance contracts (Note 34)	236,702	215,022	236,702	215,022
Gross claims incurred	9,456,217	8,110,686	9,167,627	7,560,480
Less: Amounts recoverable from retrocessionaires	(625,967)	(512,144)	(625,967)	(512,144)
Net claims incurred	8,830,250	7,598,542	8,541,660	7,048,336

10 (a). CEDANT ACQUISITION COSTS

	GROUP		COMPANY	
	2018	2017	2018	2017
CEDANT ACQUISITION COSTS	KShs '000	KShs '000	KShs '000	KShs '000
Super annuation	514,812	458,689	514,047	457,705
Ordinary life	21,450	53,529	21,419	53,529
Engineering	291,804	261,318	262,102	241,647
Fire	1,143,878	1,213,788	1,013,357	1,101,221
Marine	173,836	182,473	158,040	164,383
Medical	787,339	834,669	787,243	834,669
Personal accident	131,404	141,353	117,469	125,714
Motor	98,662	76,102	89,252	66,956
Miscellaneous (incl. Theft)	727,070	706,779	687,452	684,142
TOTAL	3,890,255	3,928,700	3,650,381	3,729,966

		GROUP		COMPANY	
		2018	2017	2018	2017
10 (b).	OPERATING AND OTHER EXPENSES	KShs '000	KShs '000	KShs '000	KShs '000
	Staff costs	736,288	650,968	665,453	599,116
	Depreciation (note 15)	34,652	39,505	26,361	33,742
	Amortisation (note 16)	142,415	45,356	142,415	45,356
	Auditors' remuneration	11,615	8,825	11,004	7,351
	Directors' - emoluments	8,640	14,125	8,640	14,125
	Directors' - fees	16,962	13,217	16,962	13,217
	Directors' - training	14,728	8,282	14,728	8,282
	Mortgage provisions	43,058	5,137	43,058	5,137
	Annual General Meeting expenses	12,886	23,782	12,886	23,782
	Investment property direct operating expenses	205,463	201,766	204,884	201,766
	Travel and accommodation	120,275	116,457	114,021	110,588
	Advertisement	14,515	20,846	14,515	20,847
	Professional and consultancy fees	42,625	186,182	42,772	186,056
	Rent and rates	8,854	8,904	7,417	7,825
	Hardware and software maintenance	77,058	50,977	77,017	50,490
	Donations, sponsorship and CSR activities	7,949	6,671	7,100	6,304
	Bank charges	15,138	11,653	12,888	10,900
	Indirect tax expenses in subsidiaries	1,109	5,872	-	-
	Forex losses	291,070	105,307	291,087	126,498
	Provision for un-reconciled inventory	4,828	33,084	4,828	32,024
	Other expenses	209,706	152,120	182,532	133,972
		2,019,834	1,709,036	1,900,568	1,637,378
	Staff costs consist:				
	Salaries and wages	469,903	444,944	427,422	403,646
	Retirement benefit costs (note 21)	7,931	2,678	7,931	2,678
	Medical expenses	35,985	29,173	32,029	29,119
	Leave allowance	44,519	33,263	33,150	31,540
	National social security benefit costs	1,259	2,357	367	353
	Gratuity accrual	-	1,274	-	605
	Bonus	76,417	57,863	72,896	57,616
	Staff welfare expenses	37,701	18,134	32,636	14,623
	Training and recruitment	24,866	27,801	23,821	26,751
	Leave pay provision	2,415	2,861	2,347	1,565
	Pension contributions to defined contribution scheme	35,217	30,620	32,854	30,620
		736,288	650,968	665,453	599,116
	Other expenses consist:				
	Motor vehicle running expenses	583	6,459	236	5,941
	General office expenses	9,442	35,820	8,925	28,890
	Marketing expenses	8,858	33,990	8,858	28,633
	Corporate and other sundry expenses	190,823	75,851	164,513	70,508
		209,706	152,120	182,532	133,972

11. TAX

		GROUP		COMPANY	
		2018	2017	2018	2017
(a)	Tax charge	KShs '000	KShs '000	KShs '000	KShs '000
	Current tax on the taxable profit for the year	671,001	944,425	671,001	944,425
	Prior year under provision	13,771	(5,443)	13,771	(5,443)
		684,772	938,982	684,772	938,982
	Deferred tax charge (note 37)				
	- Current year	138,796	39,924	138,796	39,924
	- Prior year over provision	-	2,305	-	2,305
		823,568	981,211	823,568	981,211

(b) The Group's current tax charge is computed in accordance with income tax rules applicable to composite insurance and reinsurance companies. A reconciliation of the tax charge is shown below:

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Profit before tax	3,101,850	4,538,414	3,033,273	4,728,365
Tax applicable	930,563	1,361,524	909,991	1,418,510
Tax effects of non-taxable income	(331,854)	(511,139)	(332,142)	(551,387)
Tax effect of non-deductible expenses	211,089	133,964	231,949	117,226
Prior year under/(over) provision- current tax	13,771	(5,443)	13,771	(5,443)
Prior year over provision- deferred tax	-	2,305	-	2,305
	823,569	981,211	823,569	981,211
Attributable to:				
Long term business	232,447	217,054	232,447	217,054
Short term business	591,122	764,157	591,122	764,157
	823,569	981,211	823,569	981,211

(c) Tax (recoverable) / payable

At 1 January	(126,869)	182,344	(95,850)	213,362
Charge for the year	684,772	938,982	684,772	938,982
Paid in the year	(999,879)	-	(999,876)	-
At 31 December	(441,976)	(1,248,195)	(410,957)	(1,248,194)

12. EARNINGS PER SHARE (EPS)

Earnings per share is calculated by dividing the profit for the year by the weighted average number of ordinary shares in issue during the year.

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Profit attributable to shareholders	2,278,282	3,577,340	2,209,705	3,767,291
Weighted average number of ordinary shares in issue	699,949	699,949	699,949	699,949
Basic and diluted earnings per share	3.25	5.11	3.16	5.38

There were no potentially dilutive shares outstanding at 31 December 2018 and 2017. The diluted earnings per share is therefore the same as the basic earnings per share.

13. SHARE CAPITAL

	2018	2017
(i) Authorized: share capital	KShs '000	KShs '000
800,000,000 ordinary shares of KShs 2.50 each	2,000,000	2,000,000

	Number of shares	2018 KShs '000	2017 KShs '000
(ii) Issued and fully paid			
At 31 December	699,949,068	1,749,873	1,749,873

14. RESERVES

Revaluation reserve
The revaluation reserve relates to property and equipment. The reserve is non-distributable.
The revaluation surplus represents the surplus on the revaluation of property and equipment, net of deferred tax. Movements in the revaluation reserve are shown in the statement of changes in equity.

Fair value reserve
The fair value reserve includes the cumulative change in the fair value of available-for-sale investments until the investment is derecognised.

Translation reserve
The translation reserve relates to cumulative foreign exchange movement on the net investment in Zep Re (PTA Reinsurance), an associate company accounted for under the equity method and cumulative foreign exchange movement on the subsidiaries.

Statutory reserve
The statutory reserve represents actuarial surpluses from the long term business whose distribution is subject to restrictions imposed by the Kenyan Insurance Act. The Act restricts the amounts of surpluses of the long-term business available for distribution to shareholders to 30% of the accumulated profits of the long term business.

Retained earnings
The retained earnings balance represents the amounts available for distribution to the shareholders of the Group, except for cumulative fair value gains on the Group's investment properties amounting to KShs7,826,795,000 (2017: KShs 6,686,905,000) whose distribution is subject to restrictions imposed by legislation.

15. PROPERTY AND EQUIPMENT

GROUP	Motor vehicles KShs'000	Computers KShs'000	Furniture and equipment KShs'000	Total KShs'000
31-Dec-18				
COST				
At 1 January 2018	40,122	109,481	116,361	265,964
Additions	9,389	35,117	5,218	49,724
At 31 December 2018	49,511	144,598	121,579	315,688
DEPRECIATION				
At 1 January 2018	19,773	87,594	82,038	189,405
Charge for the year	10,017	12,021	12,614	34,652
At 31 December 2018	29,790	99,615	94,652	224,057
NET CARRYING AMOUNT				
At 31 December 2018	19,721	44,983	26,927	91,631
31 DECEMBER 2017				
COST				
At 1 January 2017	33,072	99,549	107,068	239,689
Additions	10,815	9,932	9,293	30,040
Disposal	(3,765)	-	-	(3,765)
At 31 December 2017	40,122	109,481	116,361	265,964
DEPRECIATION				
At 1 January 2017	14,797	71,702	66,517	153,016
Charge for the year	8,663	15,892	14,950	39,505
Disposal	(3,687)	-	-	(3,687)
Exchange difference adjustment	-	-	571	571
At 31 December 2017	19,773	87,594	82,038	189,405
NET CARRYING AMOUNT				
At 31 December 2017	20,349	21,887	34,323	76,559

15. PROPERTY AND EQUIPMENT (continued)

COMPANY	Motor vehicles KShs'000	Computers KShs'000	Furniture and equipment KShs'000	Total KShs'000
31-Dec-18				
COST				
At 1 January 2018	26,803	106,972	102,420	236,195
Additions	-	32,205	5,735	37,940
At 31 December 2018	26,803	139,177	108,155	274,135
DEPRECIATION				
At 1 January 2018	14,565	86,355	78,313	179,233
Charge for the year	4,895	10,681	10,785	26,361
At 31 December 2018	19,460	97,036	89,098	205,594
NET CARRYING AMOUNT				
At 31 December 2018	7,343	42,141	19,057	68,541

COMPANY	Motor Vehicles KShs'000	Computers KShs'000	Furniture and equipment KShs'000	Total KShs'000
31-Dec-17				
COST				
At 1 January 2017	30,568	97,791	100,685	229,044
Additions	-	9,181	1,735	10,916
Transfers from WIP	-	-	-	-
Disposals	(3,765)	-	-	(3,765)
At 31 December 2017	26,803	106,972	102,420	236,195
DEPRECIATION				
At 1 January 2017	12,293	70,988	65,897	149,178
Charge for the year	5,959	15,367	12,416	33,742
Disposal	(3,687)	-	-	(3,687)
At 31 December 2017	14,565	86,355	78,313	179,233
NET CARRYING AMOUNT				
At 31 December 2017	12,238	20,617	24,107	56,962

16. INTANGIBLE ASSETS - GROUP and COMPANY

	Intangible assets KShs'000	Capital WIP KShs'000	Total KShs'000
31 DECEMBER 2018			
COST			
At 1 January 2018	260,384	425,027	685,411
Additions	-	194,395	194,395
Transfer from W.I.P	619,422	(619,422)	-
At 31 December 2018	879,806	-	879,806
AMORTISATION			
At 1 January 2018	149,289	-	149,289
Charge for the year	142,261	-	142,261
At 31 December 2018	291,550	-	291,550
NET CARRYING AMOUNT			
At 31 December 2018	588,256	-	588,256
31 DECEMBER 2017			
COST			
At 1 January 2017	218,445	214,346	432,791
Additions	41,939	210,681	252,620
At 31 December 2017	260,384	425,027	685,411
AMORTISATION			
At 1 January 2017	103,933	-	103,933
Charge for the year	45,356	-	45,356
At 31 December 2017	149,289	-	149,289
NET CARRYING AMOUNT			
At 31 December 2017	111,095	425,027	536,122

In 2017, Capital Work-In-Progress related to costs incurred towards acquisition of a new reinsurance system.

17. MORTGAGE LOANS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Staff mortgages	445,392	287,283	415,705	287,281
Commercial mortgages	426,874	507,059	447,249	507,059
	872,266	794,342	862,954	794,340
Less: impairment provision	(146,404)	(135,917)	(146,404)	(135,917)
	725,862	658,425	716,550	658,423
Maturity analysis:				
Within 1 year	648	39,435	1,890	39,433
Within 1 to 5 years	1,160	33,461	99,520	33,461
Over 5 years	724,054	585,529	615,140	585,529
	725,862	658,425	716,550	658,423
Impairment provision analysis:				
Balance brought forward	135,917	130,780	135,917	130,780
Additional provision	10,487	5,137	10,487	5,137
Balance carried forward	146,404	135,917	146,404	135,917

The weighted average effective interest rate on the mortgages was 10.31% (2017 - 10.40%). Mortgage loans are fully secured.

18. INVESTMENT PROPERTIES - GROUP AND COMPANY

	2018	2017
At fair value	KShs '000	KShs '000
At 1 January	9,622,000	8,903,000
Additions	85,789	46,923
Fair value gain	397,211	672,077
At 31 December	10,105,000	9,622,000

(i) The revalued properties consist of office properties situated in Nairobi and Kisumu held to earn rentals and/or capital appreciation and land acquired for development of office buildings and housing projects for rental and/or capital appreciation.

(ii) The valuation of investment properties was carried out by Caroline N. Nyororo - P/No. 0002566 of Ebony Estates Limited, professional independent valuers as at 31 December 2018.

(iii) Fair value of the properties was determined using the open market value method. This means that valuations performed by the valuer are based on active market prices, significantly adjusted for differences in the nature, location or condition of the specific property.

(iv) Valuations are performed on an annual basis and the fair value gains and losses are recorded within the profit or loss.

19. INVESTMENT IN ASSOCIATE - GROUP AND COMPANY

The group has a 19.13% interest in ZEP-Re (PTA Reinsurance) Company, a reinsurance company that underwrites all classes of life and non-life reinsurance risks. ZEP Re Limited is a private entity that is not listed on any public exchange. The Group's interest ZEP Re Limited is accounted for using the equity method in the both separate and consolidated financial statements.

	2018 KShs '000	2017 KShs '000
At 1 January	4,399,320	3,907,825
Share of profit for the year	180,865	504,069
Less: dividends - received in cash	(96,283)	-
- receipt of additional shares	-	(90,461)
	4,483,902	4,321,433
Share of revaluation reserve	401	11,522
Share of fair value reserve	35,649	19,113
Currency translation adjustment	(45,990)	(43,209)
Investment in the year - paid in cash	-	-
- capitalisation of dividends	-	90,461
	(9,940)	77,887
Net carrying amount of the investment	4,473,962	4,399,320

Summary financial information for ZEP-Re

The presentation and functional currency for ZEP-Re is US Dollars. The following exchange rates have been applied in converting the balances to Kenya shillings:

	2018 KShs	2017 KShs
Closing rate	101.85	103.23
Average rate	101.30	103.41
Ownership	19.13%	19.13%

Summary financial information for ZEP-Re

	2018 KShs '000	2017 KShs '000
Total assets	38,359,327	37,940,123
Total liabilities	(14,972,178)	(14,943,153)
Net assets	23,387,149	22,996,970
Group's share of net assets of associate	4,473,962	4,399,320
Profit before tax	945,453	2,646,031
Tax*	-	-
Profit for the year	945,453	2,646,031
Group's share of profit for the year	180,865	504,069

* The associate company is exempt from all forms of taxation.

20. INVESTMENT IN SUBSIDIARIES -COMPANY

Details of the company's subsidiaries at the end of the reporting year are as follows:

	Proportion of ownership interest and voting power held at		Investment at cost:	
	2018	2017	2018 KShs '000	2017 KShs '000
Kenya Reinsurance Corporation Côte d`Ivoire	100%	100%	4,186	4,186
Kenya Reinsurance Corporation Zambia	100%	100%	183,596	183,596
			187,782	187,782

The primary business of the two subsidiaries is reinsurance.

21. RETIREMENT BENEFIT OBLIGATION- GROUP and COMPANY

Defined benefit scheme

The Group operates a defined benefit pension plan for some of its employees. The Group's defined benefit pension plan is a final salary plan for its employees, which requires contributions to be made to a separately administered fund.

The Fund is registered under irrevocable trust with the Retirement Benefits Authority, which requires final salary payments to be adjusted for the consumer price index upon payment during retirement. The Retirement Benefits Act, 1997 and the Regulations under the Act require the Fund to maintain a funding level of 100%. Where the funding level is below 100%, such deficits are required to be amortised over a period not exceeding 6 years.

The level of benefits provided depends on the member's length of service and salary at retirement age. Scheme members' contributions are a fixed percentage of pensionable pay with the Corporation responsible for the balance of the cost of benefits accruing.

The Fund is managed by a Board of Trustees. The Board of Trustees is responsible for the overall operation and investments of the Fund. The Board of Trustees decides the investment portfolio mix based on the results of this annual review. Generally, it aims to have a portfolio mix of a variety of asset classes comprising quoted equities, government securities, property and shares.

The weighted average duration of the liability as at 31 December 2018 is 3.6 (2017: 3.9).

During the reading of the budget statement for 2017/2018 by the Cabinet Secretary, National Treasury, amendments to the Retirement Benefit Regulations now provide for an equal 50/50 sharing of surplus between members and the Fund sponsor upon wind up of a Fund.

Effective 30 September 2010, the Fund was closed to new entrants and to future accrual of benefits and a new defined contribution plan ('DC Plan') was established in respect of new entrants and existing in-service members who opted to join the new DC Plan. As part of the terms of closure of the Fund, active in-service members and pensioners (including deferred pensioners) were entitled to annual pension increases of 3% per annum. Further, for existing in-service members, members' pensionable salaries for the purpose of determining their retirement or earlier benefits will increase at the lower of the actual increase granted and 5% per annum.

21. RETIREMENT BENEFIT OBLIGATION- GROUP and COMPANY (continued)

The major categories of plan assets of the fair value of the total plan assets are, as follows:

	2018		2017	
Asset Class	Amount KShs'000	Proportion %	Amount KShs'000	Proportion %
Quoted equities	126,676	19.7	124,297	18.9
Fixed deposits, commercial papers and government bonds	350,203	54.5	316,129	48.2
Net current assets	(4,154)	(0.6)	60,695	9.3
Properties and other fixed assets	170,000	26.4	155,000	23.6
Total	642,725	100	656,121	100

Sensitivity of the Scheme:

The scheme is more sensitive to changes in the financial assumptions than changes in the demographic assumptions. In assessing sensitivity analysis of the scheme to the discount rate used, the duration of the liability was considered. The results of the sensitivity analysis are summarized in the table below:

	Current Discount Rate (13% per annum)	Discount Rate less 1% (12.2% per annum)
Present Value of Obligation at 31 December 2018	KShs 698.2 million	KShs 723.2 million

As the bulk of the benefits payable under the Fund are salary related, the sensitivity of the liability to a change in the salary escalation assumption is not expected to be materially different. However, the impact of a change in salary escalation is expected to be less than the impact of a change in the discount rate as a portion of the liabilities would not be affected by a change in the salary escalation rate.

GROUP AND COMPANY	2018 KShs '000	2017 KShs '000
The actuarial valuation results were as follows:		
Present value of funded obligations	(698,187)	(681,347)
Fair value of scheme assets	642,725	656,121
Net asset/ (liability) in the statement of financial position	(55,462)	(25,226)
Movement in present value of funded obligation:		
As at 1 January	681,347	602,603
Current service costs	4,574	4,435
Interest cost	80,779	85,893
Actuarial (gain)/loss	(25,486)	13,322
Benefits payment	(43,027)	(24,906)
At 31 December	698,187	681,347

21. RETIREMENT BENEFIT OBLIGATION - GROUP and COMPANY (continued)

Defined benefit scheme (continued)

	2018 KShs '000	2017 KShs '000
Movement in fair value of plan assets		
As at 1 January	656,121	616,937
Interest income on plan assets	77,422	87,650
Return on plan assets (excluding amount in interest income)	(47,791)	(23,560)
Benefits and expenses paid	(43,027)	(24,906)
At 31 December	642,725	656,121
Movement in net assets		
As at 1 January	(25,226)	14,334
Net expense recognised in profit or loss	(7,931)	(2,678)
Net (charge) / credit recognised in other comprehensive income	(22,305)	(36,882)
At 31 December	(55,462)	(25,226)
Amount recognised in profit or loss:		
Current service cost net of employees' contributions	4,574	4,435
Net interest on obligation and plan assets	3,357	(1,757)
Total included in "staff costs" in respect of scheme	7,931	2,678
Amount recognised in other comprehensive income:		
Actuarial gains	(25,486)	13,322
Return on plan assets (excluding amount in interest income)	47,791	23,560
Total (credit) / charge to other comprehensive income	22,305	36,882
Actuarial assumptions		
Discount rate (% p.a.)	13%	12.2%
Future salary increases (% p.a.)	5%	5%
Future pension increases (% p.a.)	3%	3%
Retirement age (years)	55	55

21. RETIREMENT BENEFIT OBLIGATION - GROUP and COMPANY (continued)

Defined contribution scheme

The Company also makes contributions to a statutory provident fund, the National Social Security Fund (NSSF). Contributions are determined by local statute. For the year ended 31 December 2018, the Group contributed KShs 31,500,000 (2017 - KShs 30,620,000) to the defined contribution pension scheme and KShs 2,500,000 (2017 - KShs 2,357,000) for NSSF which has been charged to the statement of profit or loss. The Company contributed KShs 31,500,000 (2017 - KShs 30,620,000) to the defined contribution pension scheme and KShs532,000 (2017 - KShs 353,000) to the NSSF.

22. UNQUOTED EQUITY INSTRUMENTS - AVAILABLE FOR SALE

		GROUP		COMPANY	
		2018	2017	2018	2017
		KShs '000	KShs '000	KShs '000	KShs '000
At cost					
At 1 January		202,231	202,231	202,231	202,231
Addition		-	-	-	-
At 31 December		202,231	202,231	202,231	202,231
	Share holding				
Industrial Development Bank	3.5%	24,474	24,474	24,474	24,474
Africa Reinsurance Limited	0.2%	35,491	35,491	35,491	35,491
African Trade Insurance Agency	0.6%	87,506	87,506	87,506	87,506
Uganda Reinsurance Company Limited	11.5%	54,760	54,760	54,760	54,760
Gross investment		202,231	202,231	202,231	202,231

The above unquoted instruments relate to investments in the financial markets, notably the banking and insurance sectors. The unquoted equities are not actively traded and management does not intend to dispose them in the immediate future.

The fair value measurement of the above unquoted equity instruments have not been disclosed. The carrying amounts of the above financial instruments amounting to KShs. 202 million (2017: KShs. 202 million) may therefore differ from their fair values. The valuation has not been done by management because the significant inputs that would be used by management for the valuation are not based on observable market data neither does management hold any recent price quotations of all of the above investments. Management would therefore be required to make significant judgements and assumptions, which may or may not result in correct fair value measurements.

The instruments have therefore been stated at cost less any impairment loss in the year.

23. CORPORATE BONDS

	GROUP 2018 KShs '000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
At 1 January	482,696	487,923	482,696	487,923
Redemptions during the year	(5,925)	(5,925)	(5,925)	(5,925)
Increase in interest accrued	(859)	698	(859)	698
	475,912	482,696	475,912	482,696

Made up as below:	Maturity	GROUP 2018 KShs '000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
KENGEN Limited	31-Oct-19	6,110	12,412	6,110	12,412
Consolidated Bank of Kenya Limited	24-Jul-19	105,679	105,751	105,679	105,751
NIC Bank	09-Sep-19	207,830	208,104	207,830	208,104
Centum	08-Jun-20	81,030	81,087	81,030	81,087
Commercial bank of Africa Ltd	14-Dec-20	75,263	75,342	75,263	75,342
		475,912	482,696	475,912	482,696

The average effective interest rate on the corporate bonds at 31 December 2018 was 12 % (2017: 12.41 %).

24. RECEIVABLES ARISING OUT OF REINSURANCE ARRANGEMENTS

	GROUP 2018 KShs '000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
Local companies	1,846,692	1,707,555	1,846,691	1,707,555
International companies	3,831,077	4,082,918	3,154,651	3,537,650
Less: impairment provision	(2,004,593)	(1,475,095)	(1,705,142)	(1,257,110)
	3,673,176	4,315,378	3,296,200	3,988,095
The movement in provisions is as below:				
Balance brought forward	(1,475,095)	(1,210,885)	(1,257,110)	(1,074,945)
Additional provision	(529,498)	(264,210)	(448,032)	(182,165)
Balance carried forward	(2,004,593)	(1,475,095)	(1,705,142)	(1,257,110)

25. PREMIUM AND LOSS RESERVES

	GROUP 2018 KShs '000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
International companies	962,727	999,250	806,580	821,491
Local companies	52,920	51,698	52,920	51,698
Provision for impaired balances	(743,992)	(743,992)	(688,769)	(688,769)
	271,655	306,956	170,731	184,420

25. PREMIUM AND LOSS RESERVES (continued)

The movement in provisions is as below:

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
At 1 January	743,992	(613,297)	688,769	(591,596)
Additional provision	-	(130,695)	-	(97,173)
At 31 December	(743,992)	(743,992)	(688,769)	(688,769)

Reconciliation of provisions in the Statement of Profit or Loss is as below:

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Provision on receivables arising out of reinsurance arrangements (note 25)	(424,145)	(264,210)	(358,478)	(182,165)
Provision on premium and loss reserves	-	(130,695)	-	(97,173)
At 31 December	(424,145)	(394,905)	(358,478)	(279,338)

26. OTHER RECEIVABLES

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Staff advances	65,707	77,955	56,424	59,898
Prepayments	8,371	13,546	7,141	13,265
Rental receivables	147,761	111,235	147,761	111,235
Dividends receivable	799	2,479	799	2,479
Other receivables	2,168	43,413	-	42,041
	224,806	248,628	212,125	228,918

Other trade receivables are non-interest bearing and generally on terms of 30 to 120 days.

27. QUOTED EQUITY INSTRUMENTS - AVAILABLE FOR SALE

GROUP and COMPANY	2018	2017
	KShs '000	KShs '000
At 1 January	2,107,855	2,066,252
Additions	79,447	-
Fair value gain/ (loss)	(328,495)	315,208
Disposal during the year	(259,376)	(273,605)
	1,599,431	2,107,855

28. GOVERNMENT SECURITIES- GROUP and COMPANY

	2018 KShs '000	2017 KShs '000
At 1 January	14,562,840	11,721,276
Purchases during the year	7,117,235	5,401,776
Maturities during the year	(7,375,788)	(2,742,948)
Amortisation charge for the period- Held to maturity	8,442	6,853
Fair value gain/ (loss) on available-for-sale government securities	46,849	47,323
(Decrease) / increase in Interest accrued[5]	(44,826)	128,560
	14,314,752	14,562,840
Maturing:		
- Within 3 months	-	1,638,609
- Within 4 to 12 months	362,759	1,770,356
- Within 1 to 5 years	4,567,685	3,149,428
- Over 5 years	9,384,308	8,004,447
At 31 December	14,314,752	14,562,840

Treasury bonds amounting to KShs 2,319,550,000 (2017 - KShs 2,319,550,000) are held under lien by the Commissioner of Insurance as required by the Kenyan Insurance Act. The weighted average effective interest rate on the government securities was 10.80 % (2017 - 10.89 %).

29. INVENTORY

	GROUP		COMPANY	
	2018 KShs '000	2017 KShs '000	2018 KShs '000	2017 KShs '000
As 31 December	13,590	19,897	13,492	19,897

Inventories comprise stationery and repair materials.

30. DEFERRED ACQUISITION COSTS

	GROUP		COMPANY	
	2018 KShs'000	2017 KShs '000	2018 KShs '000	2017 KShs '000
At 1 January	1,408,301	1,303,254	1,318,322	1,240,471
Deferred during the year	1,363,134	1,408,301	1,249,752	1,318,322
Released to the statement of profit or loss	(1,408,301)	(1,303,254)	(1,318,322)	(1,240,471)
At 31 December	1,363,134	1,408,301	1,249,752	1,318,322

[5] Total interest income recognised in profit or loss from investments in Government securities amounted to KShs 1,807,461,000 (2017: KShs 1,495,869,000) of which KShs 129,543,000 (2017: KShs 129,543,000) related to those held as available for sale.

31. NON CURRENT ASSETS HELD FOR SALE

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs'000	KShs '000	KShs '000	KShs '000
At 1 January	23,000	28,098	23,000	28,098
Provision	(23,000)		(23,000)	
Disposal during the year	-	(5,098)	-	(5,098)
At 31 December	-	23,000	-	23,000

The non-current assets held for sale represent land which the Company intends to dispose within the next 12 months. The assets have remained in this category for two years due to the nature of these assets. The period its takes to complete such sale and the search for a willing buyer can be a lengthy process. The period of sale has therefore been extended beyond one year.

32. DEPOSITS WITH FINANCIAL INSTITUTIONS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Deposit with financial institutions	5,459,225	3,408,386	5,212,505	3,092,508

The weighted average effective interest rate on deposits with financial institutions was 4.2 % (2017- 8.02%).

33. CASH AND CASH EQUIVALENTS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Cash and bank balances	338,035	227,204	161,216	153,247

For the purpose of the statement of cash flows, cash and cash equivalents comprise the following:

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Short term bank deposits	5,459,225	3,408,386	5,212,505	3,092,508
Cash and bank balances	338,035	227,204	161,216	153,247
	5,797,260	3,635,590	5,373,721	3,245,755

34. LONG TERM REINSURANCE LIABILITIES- GROUP and COMPANY

The long term reinsurance liabilities, which comprise Ordinary Life Fund and Superannuation Fund, were established in respect of the Company's long-term business as required under Section 45 of the Kenyan Insurance Act. Income arising from the investment of the assets of the statutory funds is credited to and forms part of these funds. Transfers from the statutory funds to the profit or loss are done upon the recommendation of the Actuary. The latest actuarial valuation of the life fund was carried out by Zamara Actuaries, Administrators & Consultants Limited, consulting actuaries as at 31 December 2018 and according to the valuation, the fund had a surplus of KShs 6,220 million (2017- KShs 5,608 million).

Reconciliation of statutory fund to the actuarial surplus

The actuarial surplus resulting from the actuarial valuation carried out by the Consulting Actuaries as at 31 December 2018 is summarised as follows:

	2018 KShs '000	2017 KShs '000
Life fund	8,800,851	8,000,776
Less: actuarial value of policy holder liabilities	(2,629,125)	(2,392,423)
Actuarial surplus	6,171,726	5,608,353
Less deferred tax liability (note 37)	(1,850,773)	(1,668,862)
Statutory reserve	4,320,953	3,939,491

The movement in the actuarial value of policy holder liabilities is as follows:

	2018 KShs '000	2017 KShs '000
As at 1 January	2,392,423	2,177,401
Movement in liabilities	236,702	215,022
	2,629,125	2,392,423

Valuation assumptions

The significant valuation assumptions for the actuarial valuation as at 31 December 2018 are summarised below. The same assumptions were used in 2017.

(i) Actuarial basis and method of valuation
The Company underwrites both treaty and mandatory cessions business. Compulsory cessions ordinary life business is written on a risk premium basis. Accordingly, this business can be viewed as a series of one year renewable term assurances reinsured on guaranteed risk premium rates and valued as such. Therefore, the actuarial reserves have been established as a proportion of gross annual premiums written. Each type or class of ordinary life business has been valued as a different percentage of annual office premiums written.

The actuary has established actuarial reserves of 95% of the gross annual premiums written for all types of compulsory cessions ordinary life business at the valuation date.
Treaty business and Company life business actuarial reserves has been established to 95% of the annual premiums at the valuation date. For supplementary benefits, the actuarial reserve has been established to equal to 100% of annual premiums at the valuation date.

In addition to establishing actuarial reserves for ordinary life business, Company life business and supplementary benefits additional actuarial reserves namely AIDS reserve, claims equalisation reserve and contingency reserve have been established.

(ii) Investment returns
The rate of return on the life fund assets in 2018 was 4% per annum (2017 - 4.1% per annum).

35. SHORT TERM INSURANCE CONTRACT LIABILITIES

GROUP

YEAR 2018	Gross KShs'000	Reinsurance KShs'000	Net KShs'000
As at 1 January 2018	5,980,320	(288,804)	5,691,516
Movement	804,791	(493,361)	311,430
As at 31 December 2018	6,785,111	(782,165)	6,002,946

YEAR 2017	Gross KShs'000	Reinsurance KShs'000	Net KShs'000
As at 1 January 2017	5,819,354	(288,804)	5,530,550
Movement	160,966	45,622	206,588
As at 31 December 2017	5,980,320	(243,182)	5,737,138

COMPANY

YEAR 2018	Gross KShs'000	Reinsurance KShs'000	Net KShs'000
As at 1 Jan 2018	5,554,703	(288,804)	5,265,899
Movement	691,100	(403,159)	287,941
As at 31 Dec 2018	6,245,803	(691,963)	5,553,840

YEAR 2017	Gross KShs'000	Reinsurance KShs'000	Net KShs'000
As at 1 Jan 2017	5,730,341	(288,804)	5,441,537
Movement	(175,638)	53,506	(122,132)
As at 31 Dec 2017	5,554,703	(235,298)	5,319,405

The Chain Ladder method and the Bornhuetter Ferguson method were used to project the claim reserves. Gross paid claims were used for all projections. The net IBNR was then calculated using historical reinsurance recoveries over the last three years.

35. SHORT TERM INSURANCE CONTRACT LIABILITIES (continued)

The claims development for the above insurance liabilities is shown below:

Claims development

GROUP

Accident Year	2014	2015	2016	2017	2018	Total
	KShs'000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
At the end of accident year	4,379,095	2,696,937	3,448,833	3,181,952	5,565,338	19,272,155
One year later	4,087,426	1,594,546	1,958,680	2,281,400	-	9,922,052
Two years later	976,359	812,427	286,139	-	-	2,074,925
Three years later	534,447	135,099	-	-	-	669,546
Four years later	168,197	-	-	-	-	168,197
Five years later	32,443	-	-	-	-	32,443
Current estimate of cumulative claims	10,270,552	5,381,696	6,070,592	6,132,713	10,286,711	38,142,264
Less: cumulative payments to date	(10,177,967)	(5,239,008)	(5,693,653)	(5,463,352)	(5,565,338)	(32,139,318)
Total net liability included in the statement of financial position	92,585	142,688	376,939	669,361	4,721,386	6,002,946

35. SHORT TERM INSURANCE CONTRACT LIABILITIES (continued)

COMPANY

Accident Year	2014	2015	2016	2017	2018	Total
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
At the end of accident year	4,069,629	2,347,212	3,028,654	2,732,285	4,797,662	16,975,442
One year later	3,795,549	1,368,347	1,658,157	1,959,171	-	8,781,224
Two years later	848,786	693,265	218,682	-	-	1,760,733
Three years later	468,429	117,004	-	-	-	585,432
Four years later	164,038	-	-	-	-	164,038
Five years later	31,574	-	-	-	-	31,574
Current estimate of cumulative claims	9,463,663	4,657,840	5,254,233	5,310,739	9,165,808	33,852,284
Less: cumulative payments to date	(9,378,005)	(4,525,827)	(4,905,494)	(4,691,456)	(4,797,662)	(28,298,444)
Total net liability included in the statement of financial position	85,659	132,013	348,739	619,283	4,368,160	5,553,840

36. PAYABLES ARISING OUT OF REINSURANCE ARRANGEMENTS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Local companies	212,563	154,274	212,563	154,274
International companies	336,903	516,213	228,048	326,402
	549,466	670,487	440,611	480,676

37. DEFERRED TAX LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

The net deferred tax liability is attributable to the following items:

GROUP and COMPANY

	2018	2017
	KShs '000	KShs '000
Excess depreciation over capital allowances	137,363	(73,570)
Leave pay provision	(9,887)	(2,077)
Defined benefit liability	9,169	2,678
Other provisions	(42,413)	(276,406)
Bad debts provisions	(861,222)	(374,500)
	(766,990)	(723,875)
Life fund actuarial surplus	1,850,773	1,668,862
Net deferred tax liability	1,083,782	944,987

The movement on the deferred tax account during the year was as follows:

At 1 January	944,986	902,758
Charge for the year (note 11)	138,797	42,229
At 31 December	1,083,783	944,987

38. OTHER PAYABLES

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Purchasers deposits	18,432	4,774	18,432	4,774
Legal fees deposits	1,238	233	1,238	233
Rental deposits	144,189	135,879	144,189	135,879
Accrued leave pay	43,443	12,966	32,957	12,653
Accounts payable	269,905	312,414	258,215	293,811
Other creditors and accruals	268,662	177,114	253,738	164,655
	745,869	643,380	708,769	612,005

Other payables are non-interest bearing and have an average term of not more than 1 year.

39. UNEARNED PREMIUMS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs'000	KShs'000
At 1 January	5,113,942	4,513,703	4,781,322	4,298,058
Increase/ (decrease) in the year	(190,991)	600,239	(208,662)	483,264
At 31 December	4,922,951	5,113,942	4,572,660	4,781,322

40. DIVIDENDS - GROUP and COMPANY

The directors propose the payment of a first and final dividend of KShs 0.45 (2017 - KShs 0.85) per share totalling to KShs 315 million in respect of the year ended 31 December 2018 (2017 - KShs 595 million). The proposed dividends are subject to approval by shareholders at the Annual General Meeting and therefore the cash dividend has not been included as a liability in these financial statements.

The cash dividend is payable subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470, Laws of Kenya.

Dividends per share is summarised as follows:

	2018	2017
Proposed dividends per share:		
Dividends appropriations (KShs '000')	314,977	594,957
Number of shares at 31 December	699,949,068	699,949,068
Dividends per share	0.45	0.85
Dividends per share declared and paid:		
Dividends appropriations (KShs '000')	594,957	559,959
Number of shares at 31 December	699,949,068	699,949,068
Dividends per share	0.85	0.80

41. NOTES TO THE STATEMENT OF CASH FLOWS

	GROUP		COMPANY	
	2018	2017	2018	2017
	KShs '000	KShs '000	KShs '000	KShs '000
Profit before tax	3,101,850	4,558,551	3,033,273	4,748,502
Adjustment for:				
Depreciation (note 15)	34,500	39,505	26,361	33,742
Unrealised foreign exchange losses	(497)	595	(342)	595
Interest on corporate bonds (note 7)	(57,145)	(60,228)	(57,145)	(60,228)
Interest on government securities (note 7)	(1,787,092)	(1,495,869)	(1,787,092)	(1,495,869)
Interest on staff mortgages and loans (note 7)	(18,745)	(16,411)	(18,348)	(16,200)
Interest on deposits with financial institutions (note 7)	(251,569)	(304,968)	(230,110)	(286,286)
Interest on commercial mortgages (note 7)	(51,116)	(54,896)	(51,116)	(54,896)
Dividend income (note 7)	(169,238)	(112,066)	(169,238)	(112,066)
Provision for doubtful debts	453,915	394,905	358,478	279,338
Amortisation of software (note 16)	142,261	45,356	142,261	45,356
Realised accumulated fair value gain on available for sale quoted equity instruments (note 7)	(201,532)	(258,669)	(201,532)	(258,669)
Gain on disposal of property and equipment (note 8)	-	(687)	-	(687)
Provision on non-current assets held for sale	23,000		23,000	
Profit on sale of non-current assets held for sale	-	(10,402)	-	(10,402)
Fair value gain on investment properties (note 18)	(397,211)	(672,077)	(397,211)	(672,077)
Defined benefit loss recognised in profit or loss	7,931	2,678	7,931	2,678
Share of profit of associate (note 19)	(180,865)	(504,069)	(180,865)	(504,069)
Operating profit before working capital changes	648,447	1,551,248	498,305	1,638,762
Short term reinsurance contract liabilities	265,808	206,588	234,435	(122,132)
Unearned premiums	(190,991)	600,239	(208,662)	483,264
Other payables	102,489	150,741	96,764	132,547
Long term reinsurance contract liabilities	236,702	215,022	236,702	215,022
Mortgage loans	(67,437)	49,140	(58,127)	49,142
Other receivables	61,565	(61,424)	63,960	(43,608)
Increase in inventories	6,307	23,011	6,405	23,011
Deferred acquisition costs (note 31)	45,167	(105,047)	68,570	(77,851)
Premium and loss reserves	35,301	(58,054)	13,689	(4,710)
Payables arising out of reinsurance arrangements	(121,021)	109,930	(40,065)	66,569
Increase in due to/ from related party	-	-	(48,671)	40,566
Receivables arising out of reinsurance arrangements	188,287	(997,521)	333,417	(818,643)
Net cash generated from operations	1,210,624	1,683,873	1,196,,722	1,581,939

42. RELATED PARTIES

The Group has various related parties, primarily by virtue of being shareholders and common directorships. The other related parties include the staff of the Group. The following transactions were carried out with related parties

	GROUP 2018 KShs'000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
(a) Transactions and balances with directors and staff				
(i) Directors' remuneration				
Fees	8,640	13,217	8,640	13,217
Other emoluments	16,962	14,124	16,962	14,124
	25,602	27,341	25,602	27,341
(ii) Key management remuneration				
Salaries and other short-term benefits	65,554	62,727	59,556	43,926
Post-employment benefits	-	3,002	-	2,752
	65,554	65,729	59,556	46,678
(iii) Loans to staff	70,801	77,657	70,801	63,940

Interest income on these loans was KShs 18,744,545, (2017: KShs 11,694,120). The effective interest on the loans is 5 % (2017 - 5%). Staff mortgages and car loans are fully secured.

	GROUP 2018 Ksh'000	GROUP 2017 KShs '000	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
(b) Transaction with associate company, ZEP Re				
(i) Net premium written	24,127	30,103	24,127	30,103
(ii) Claims incurred	14,310	13,914	14,310	13,914

Reinsurance policies taken out by related parties are in the ordinary course of business at terms and conditions similar to those offered to other clients.

(c) Outstanding balances with related parties:	Relationship	COMPANY 2018 KShs '000	COMPANY 2017 KShs '000
Due to:			
Amount due from Kenya Reinsurance Corporation Zambia	Subsidiary	93,820	63,438
		93,820	63,438
Due from:			
Amount due to Kenya Reinsurance Corporation Cote d'Ivoire	Subsidiary	43,091	61,380

43. INVENTORY PROPERTY - GROUP and COMPANY

	2018 KShs '000	2017 KShs '000
Cost	941,077	918,077
Less: Impairment provision	(941,077)	(918,077)
	-	-

There was no movement in impairment provision for inventory. The impairment allowance mainly relates to inventory properties that are currently in dispute and are subject to ongoing court cases.

44. CONTINGENT LIABILITIES

The Kenya Revenue Authority made a final assessment relating to withholding tax on cedant acquisition costs and brokerage fees as indicated below:

	Principal KShs '000	Interest KShs '000	Penalty KShs '000	Total KShs '000
Withholding tax	742,215	456,052	74,221	1,272,488

The amount is the subject of ongoing court case between Kenya Re and KRA. Management are of the opinion that this will not be payable and as a result, no provision has been made in these financial statements.

45. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which could have a material impact on the financial statements for the Group or the Company which have not been adequately adjusted for.

46. INCORPORATION

The Company is incorporated and domiciled in Kenya under the Companies Act.

47. CURRENCY

The financial statements are presented in thousands of Kenya shillings (KShs '000).

48. COMMITMENTS

Operating lease commitments - Group as lessor

The Group has entered into operating leases on its investment property portfolio consisting of certain office buildings. These leases have terms of 6 years. All leases include a clause to enable upward revision of the rental charge on an annual basis according to prevailing market conditions.

The total contingent rents recognised as income during the year is KShs 875 million (2017: KShs 843 million). Future minimum rentals receivable under non-cancellable operating leases as at 31 December are, as follows:

	2018 KShs'000	2017 KShs'000
Not later than one year	2,372	69,439
Later than 1 year but not later than 5 years	2,193,636	1,411,449
Later than 5 years	1,089,647	1,593,945
	3,285,655	3,074,833

KENYA REINSURANCE CORPORATION LIMITED
SHORT TERM BUSINESS REVENUE ACCOUNT
FOR THE YEAR ENDED 31 DECEMBER 2018
Appendix 1

	Aviation Shs '000'	Engineering Shs '000'	Fire domestic Shs '000'	Fire industrial Shs '000'	Liability Shs '000'	Marine Shs '000'	Motor private Shs '000'	Motor commercial Shs '000'	Personal accident Shs '000'	Theft Shs '000'	Workmen compensation Shs '000'	Medical Shs '000'	Miscellaneous Shs '000'	Total General 31.12.2018 Shs '000'	Total General 31.12.2017 Shs '000'
Gross premium	34,960	1,004,214	3,416,687	426,981	191,717	546,625	39,287	760,314	277,570	3,425	1,879	2,951,505	3,277,942	12,933,106	13,196,958
Movement in unearned premium	6,762	526	160,821	20,098	15,689	67,738	(1,237)	(23,936)	(6,921)	(85)	(46)	35,360	(83,779)	190,990	412,103
Earned premiums	41,722	1,004,740	3,577,508	447,079	207,406	614,363	38,050	736,378	270,649	3,340	1,833	2,986,865	3,194,163	13,124,096	12,784,855
Less: Retrocession premiums	9,937	120,397	174,853	65,889	0	31,781	0	19,449	6,369	0	0	0	289,586	718,261	600,239
Net earned premiums	31,785	884,343	3,402,655	381,190	207,406	582,582	38,050	716,929	264,280	3,340	1,833	2,986,865	2,904,577	12,405,835	12,184,616
Claims paid	41,803	264,021	2,336,795	17,804	34,534	345,476	5,910	670,015	165,000	3,616	35,541	2,393,599	1,944,597	8,258,711	7,019,508
Claims recoverable	0	27	196,779	325,030	0	(6,660)	0	0	3,090	0	0	0	43,303	561,569	469,908
Claims reserves at 01.01.2018	(10,725)	(285,478)	(4,505)	(2,543,879)	(48,953)	(367,724)	(4,000)	(506,002)	(143,704)	(113,637)	(606)	(1,163,915)	(544,010)	(5,737,138)	(5,530,550)
Claims reserves at 31.12.2018	57,838	320,524	10,695	2,542,637	75,269	340,365	8,566	500,375	42,403	121,954	357	823,511	1,158,452	6,002,946	5,737,138
Net claims incurred	88,916	299,040	2,146,206	(308,468)	60,850	324,777	10,476	664,388	60,609	11,933	35,292	2,053,195	2,515,736	7,962,950	6,756,188
Commissions	8,461	315,256	1,004,644	102,154	60,642	169,560	4,191	117,310	132,486	987	478	762,010	658,856	3,350,056	3,413,808
Commissions recoverable	0	(51)	(98)	0	0	(34)	0	(6,807)	0	0	0	0	0	(6,990)	(777)
Commissions movement 2018	(713)	(20,877)	41,863	4,257	(1,497)	5,661	(519)	(14,521)	(7)	0	0	31,554	(35)	45,166	0
Net commissions	7,748	294,430	1,046,605	106,411	59,145	175,255	3,672	109,596	132,479	987	478	793,564	658,821	3,388,232	3,413,031
Provision for bad debts	1,147	32,933	112,051	14,003	6,287	17,927	1,288	24,935	9,103	112	62	96,795	107,501	424,144	394,905
Management expenses	4,817	138,355	470,733	58,827	26,414	75,311	5,413	104,752	38,242	472	259	406,643	451,618	1,781,881	1,467,424
Total expenses	102,628	764,758	3,775,595	(129,227)	152,696	593,270	20,849	903,671	240,433	13,504	36,091	3,350,197	3,733,676	(1,165,352)	12,031,548
Underwriting profit/(loss)	(70,843)	119,585	(372,940)	510,417	54,710	(10,688)	17,201	(186,742)	23,847	(10,164)	(34,258)	(363,332)	(829,099)	(1,152,306)	153,068

This short term business revenue account was approved by the Board of Directors on 28/03/2019 and was signed on its behalf by

Jadiah Mwarania
Principal Officer

David Kemei
Director

Anthony Munyao
Director

KENYA REINSURANCE CORPORATION LIMITED
LONG TERM BUSINESS REVENUE ACCOUNT
FOR THE YEAR ENDED 31 DECEMBER 2018
Appendix 11

	Ordinary Kshs	Super Annuation Kshs	2018 Kshs	2017 Kshs
Gross earned premiums	55,255	1,850,032	1,905,287	1,630,338
	-	-	-	-
Less: Retrocessions premiums	(6,553)	(98,593)	(105,146)	(135,378)
	-	-	-	-
Net earned premium	48,702	1,751,439	1,800,141	1,494,960
	-	-	-	-
Net claims incurred	44,142	586,456	630,598	627,332
	-	-	-	-
Change in actuarial liabilty	(159,391)	396,092	236,701	215,022
	-	-	-	-
Net cedant acquisition costs	25,101	471,657	496,758	413,596
	-	-	-	-
Management expenses	7,139	230,814	237,953	240,834
	(83,009)	1,685,019	1,602,010	1,496,784
	-	-	-	-
Underwriting surplus	131,711	66,420	198,131	(1,824)
	-	-	-	-
Fair value gains	1,938	62,648	64,586	117,212
	-	-	-	-
Investment income	12,305	397,871	410,176	543,459
	-	-	-	-
Increase in life fund	145,954	526,939	672,893	658,847
Tax Charge	(5,053)	(45,481)	(50,535)	(47,130)
Net Increase in life fund	62,236	560,122	622,358	611,717

The long term business revenue account was approved by the board of directors on 28 | 03 | 2019 and were signed on its behalf by:

Jadiah Mwarania
Principal Officer

David Kemei
Director

Anthony Munyao
Director